



Albrecht Wood Interiors Analysis 2020

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Executive Summary

Albrecht Wood Interiors (AWI) provides the greater Dayton area with high quality, high end, and service-oriented custom cabinetry. The firm found its success by employing skilled laborers and customer loyalty through word of mouth marketing. AWI built its business on these principles, and as the industry pivots to accommodate an ever-changing environment, it is critical to continually evaluate business operations and identify areas of potential development.

This report is divided into three main sections; generally increasing in level of detail and specificity:

1. Industry Analysis (Internal and External)
2. Conclusions
3. Recommendations

The industry analysis for AWI provides insights into the construction and finished carpentry contractors industry. It is essential to analyze both the internal and external environments within these industries to understand the macro and micro level influences that affect firm performance. These factors provide insights into how AWI must operate its daily operations and produce the framework to build a long-term strategy.

For the external analysis, the team utilized assessment tools to better understand the role that outside sources have on business operations and the competitive environment. For the internal analysis, the team used analytic techniques to examine AWI's positioning to determine the firm's core competencies and critical resources that drive competitive advantage. AWI is competing in a highly saturated market and is projected to increase in revenue in the next five years, while also seeing an expected labor shortage.

The internal and external analysis provided the insights to form conclusions and ultimately develop two recommendations for AWI to consider, implement, and maintain. These recommendations will provide a financial and workforce development framework that AWI can use to increase its labor force and overall profits. Each recommendation will consist of a three-pronged approach over the next five years.

Recommendation 1: Develop and infrastructure to manager overall financial performance.

Forecast financials, create a budget, and track key performance indicators

Recommendation 2: Implement a workforce development plan.

Train the workforce, hire the workforce, and develop the workforce

Please refer to the succeeding paper as it outlines, in detail, our external and internal analysis, the conclusions, and further elaborates on the implementation strategy around our recommendations.



Company History and Overview

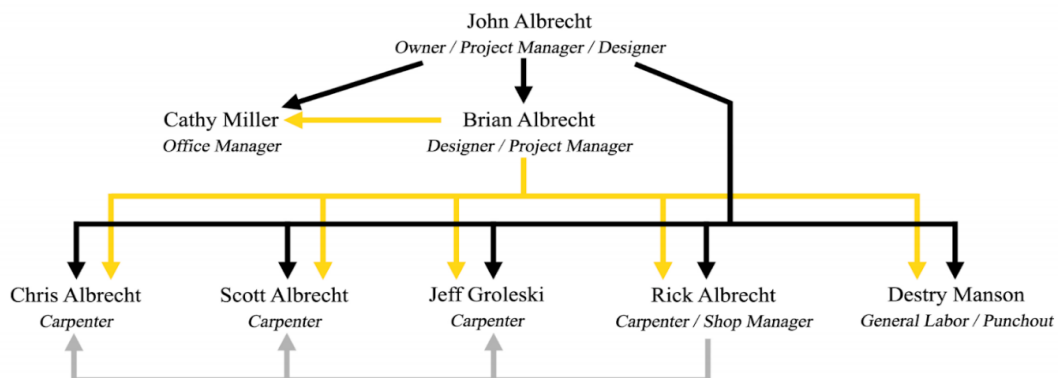
Albrecht Wood Interiors (AWI) is a premier remodeling and custom cabinetry contractor in the Dayton, OH area. This company was built by John Albrecht in 1989. It started with humble roots in custom cabinetry and trim work and has since grown to building full custom homes. Over 30 years later John Albrecht remains at the heart of the business as an owner, project manager, and designer (About Us, n.d.).

In addition, the team includes designer and project manager Brian Albrecht who has 16 years of experience, all with AWI. There are four carpenters with the team; Chris Albrecht, Scott Albrecht, Jeff Groleski, and Rick Albrecht. Rick Albrecht also serves as the Shop Manager and brings about 41 years of experience to the team. Chris Albrecht has 14 years of experience, Scott Albrecht has 33 years of experience, and Jeff Groleski has 39 years of experience. On the business side, there is one office manager who works with the overall project organization, Cathy Miller, who has been with AWI for 27 years (About Us, n.d.). The team can be seen in Exhibit 1.1.

Exhibit 1.1 Albrecht Wood Interiors Organizational Chart



ORGANIZATIONAL CHART



(Organizational Chart, n.d.)

The entire team exemplifies the close ties the company has to the community, which plays a large role in the business strategy. All materials are locally sourced from Dayton and Cincinnati while employees are mostly Dayton natives (Albrecht Wood Interiors & Rhoads Estate Homes, 2018). The company supports multiple philanthropic projects such as developing a playhouse for the Dayton Children's Hospital's Cha-Cha Auction (Albrecht Wood Interiors & Rhoads Estate Homes, 2019) and collaborating with area high schools to promote the benefits of a skilled trade profession (Baker, 2019). They pride themselves on the quality and craftsmanship of their work along with the close knit relationships they build with their clients.

Over time, their values have built a phenomenal reputation for the company. This reputation keeps the staff busy and allows AWI to operate with minimal marketing expenses. In fact, the only external marketing they pay for is a one page advertisement in Dayton's Housetrends Magazine four times a year (Company Strategy and Deliverables, n.d.). They rely on word of mouth advertising along with their portfolio of projects in the companies pursuit of future projects. Their portfolio does not specialize in one style of wood craftsmanship but in many different styles including contemporary, traditional, modern, and rustic (Albrecht Wood Interiors & Rhoads Estate Homes, 2018). The creative designs match what homes have to offer while utilizing unique qualities such as wood inlays, custom detailing, and live-edge pieces (Albrecht Wood Interiors & Rhoads Estate Homes, 2018). The end products are truly unique, masterful, and stunning.

The utilization of websites and social media platforms are minimal. The website contains Home, Gallery, About Us, and Contact Us tabs for both AWI and Rhoads Estate Homes. The Home tab simply has gallery pictures on rotation (Home, n.d.). The Gallery tab is organized into Exterior, Bathrooms, Living Room/Great Room, Kitchen/Bars, Office/Commercial, and Misc. sections. Each section contains between 22 and 70 pictures in a grid style (Gallery, n.d.). The About Us tab features three paragraphs about company philosophy, about three paragraphs on company history, and a team section that includes a headshot of each team member along with their years of experience and key functions (About Us, n.d.). Finally, the Contact Us tab includes the office address, phone/fax number, and email for the company (Contact Us, n.d.). The Facebook page Albrecht Wood Interiors & Rhoads Estate Homes was set up in December of 2018 and consists of approximately 35 posts; 17 of which were posted in December of 2018 (Albrecht Wood Interiors & Rhoads Estate Homes, n.d.).

AWI makes money by selling their labor services and materials to build custom home spaces, resulting in one-of-a-kind spaces featuring wood. Specifically, AWI upon initial contact will assess if the potential client fits AWI's demographic based on qualities such as budget. If the potential client meets AWI's requirements they will set up an initial meeting, followed by on-site measurements and then they will create drawings. Next, AWI puts together a bid and if everything is agreed upon AWI moves into the contract phase and then execution. Money is made after the contract is in place and can include a design/drawing fee depending on the extent of the project (Albrecht, Albrecht, & Albrecht, 2020).

In 2016, AWI and Rhoads Estate Homes, LLC joined forces. Rhoads Estate Homes was established in 1976 and became the most elite home builder in the Dayton, OH area, recognized nationally for their high end homes (About Us, n.d.). This natural pairing of companies has

helped both achieve prestige and continue their legacies. In addition, AWI stays focused on custom woodwork design and construction while leveraging high quality subcontractors to complete full scale remodeling and new home construction projects (Company Strategy and Deliverables, n.d.). We will learn more about this merger in the Mergers, Acquisitions, and Strategic Alliances section.

This analysis will remain focused on AWI while continuing to recognize the impact and value of Rhoads Estate Homes and subcontractors. AWI operates primarily in the North American Industry Classification System (NAICS) code 238350 - Finish Carpentry Contractors industry segment while Rhoads operates primarily in 236115 - New Single-Family Housing Construction industry segment (Six Digit Naics Codes & Titles, n.d.). A NAICS code is simply a standard business classification number to help compare companies in similar industries.

Altogether, AWI is a company that focuses on high quality custom woodworking while retaining the capability to build full custom homes with the help of Rhoads Estate Homes and essential subcontractors. They have strong ties to the community which includes sourcing materials from the Dayton area, employing Daytonians, and working projects in the Dayton area. These ties cover marketing and cause a higher demand than they can support with the size of the company. The key to growth will be in the ability to hire new employees to grow the workforce and replace those who will be retiring soon.



External Analysis

To perform an external analysis of AWI and Rhoads Estate Homes, we must first examine the industry, taking into consideration the size of the industry and growth potential. Next we will go through a Herfindahl analysis to determine the industry concentration. We will then discuss how the factors in PESTDGE framework affect the industry. Finally, we will use Michael Porter's Five Forces model to assess the competitive nature in the industry.

Industry Analysis

The construction industry's size, history, and its influence on the economy make the industry a very dynamic industry. Historically, the construction industry is known to be one of the fastest indicators to the wellbeing of the economy. The U.S. Economy's foundations are based on the U.S. infrastructure which is the core of the construction industry. The housing market, remodel, custom homes and carpentry trades are considered to be important pieces to the foundation structure of the U.S infrastructure and the construction industry. Obtaining skilled workers is an imperative factor when it comes to gaining competitive advantage within the construction industry. Skilled trades do allow companies to become more profitable. This has been the focus of all construction firms especially lately, as the baby boomer generation began retiring and more unskilled millennials started to enter the workforce. This has created an on-going issue as the quality of work became less than what it used to be. Many firms started to partner with local technical colleges in order to train and educate the next generation to fill the void left by the departure of many baby boomers.

As a result, the construction industry is valuable to our society and economy. This can be seen through the value added by the industry and its many segments as well as the ability to measure such value and impact. One of the many values are strengthening our core infrastructure, revolutionizing the housing market, and providing many products to consumers and clients. The construction industry can also outsource or insource its services to deliver a variety of its functions. Many construction firms have the option of self-performing their tasks which usually lead to higher profit. While other firms opt to outsource many of their projects to eliminate and spread risk, in result, a lower profit and more flexibility are obtained.

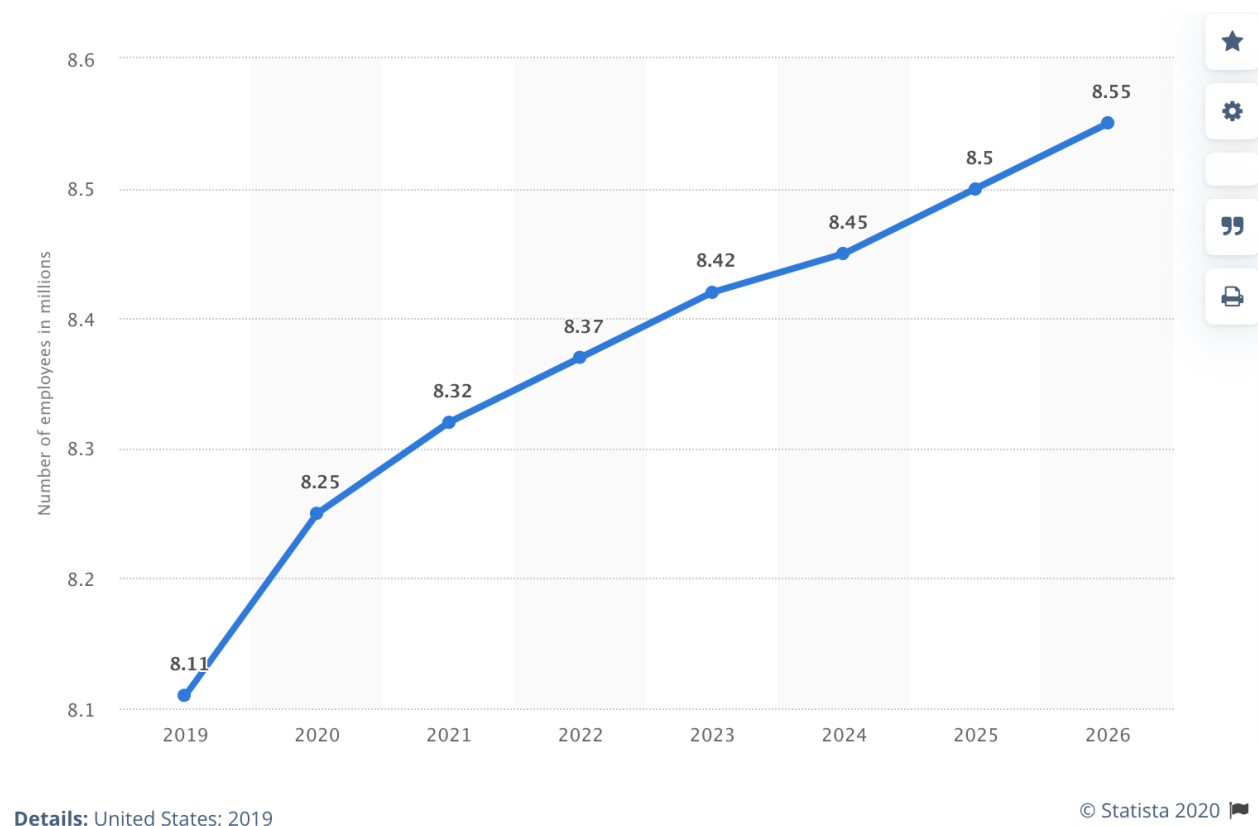
As determined in the Company History and Overview section, AWI operates primarily in the NAICS code 238350 - Finish Carpentry Contractors industry segment. In addition, Rhoads Estate Homes operates primarily in the NAICS code 236115 - New Single-Family Housing Construction industry segment (Six Digit NAICS Codes & Titles, n.d.). NAICS codes can be broken down into parts. The first two numbers of their NAICS codes, 23, identifies that both AWI and Rhoads Estate Homes are in the construction industry. There are over 1,484,279

businesses in the United States that can be identified within the construction industry (NAICS, 2020). These businesses vary in size and services and can be used as complements or substitutes to AWI and Rhoads Estate Homes.

According to IBISWorld statistics, the construction industry is projected to rebound in the global economy and expand at an annualized rate of 5.5% over the next five years (IBISWorld, 2020). Revenue growth for the industry's sectors are expected to rise significantly, relative to the previous five-year period. Many of the largest industries in the sector are anticipated to accelerate in growth following a steep slowdown in economic growth in 2020 as a result of the COVID-19 pandemic (Sermeno, 2020). The sectors' growth will likely be driven by expected improvements in nonresidential construction, with the commercial and infrastructure construction sub-sectors driving expansion. Meanwhile, residential construction activities are expected to expand significantly in 2021 and continue to grow through 2025 (IBISWorld, 2020).

According to a statistical projection by Statista, the construction industry is projected to have an increase in employees by 0.14% every year until 2026 (Statista, 2019). The graph in exhibit 2.1 illustrates the increase in the workforce.

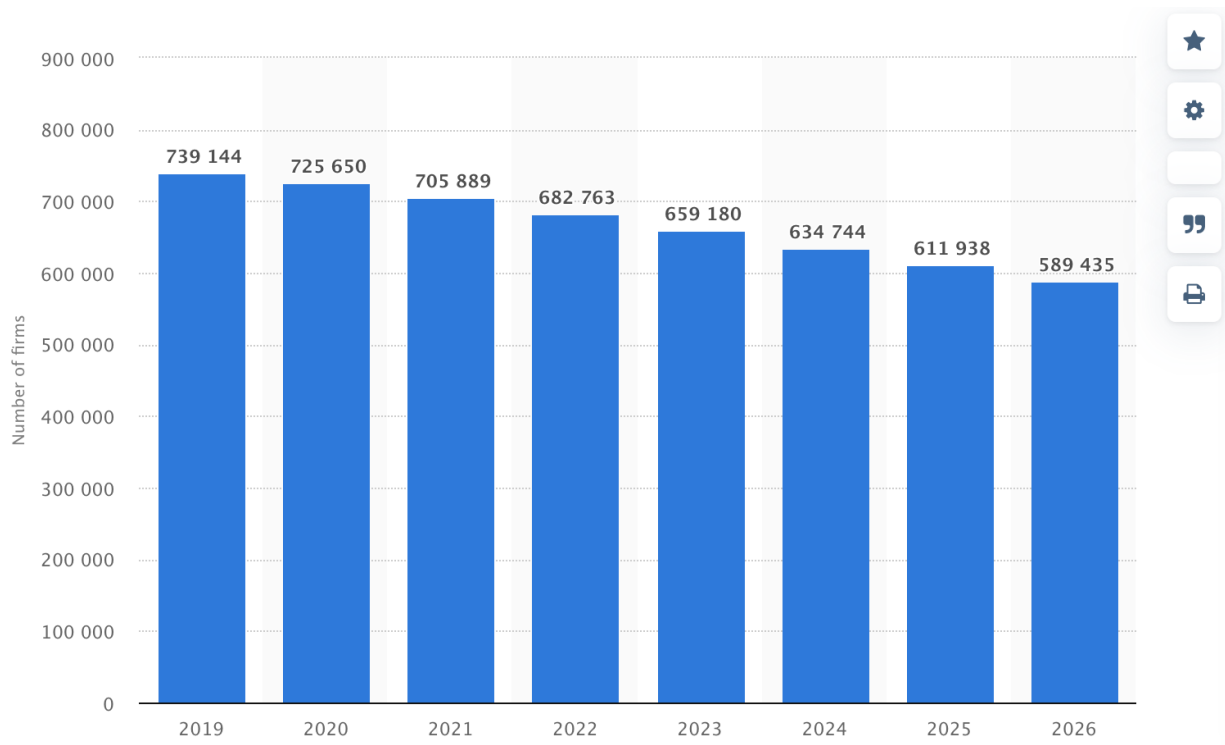
Exhibit 2.1 Projected Number of Employees in the Construction Industry



(Statista, 2019)

However, the number of firms in the construction industry is projected to decrease steadily through 2026 (Statista, 2019). Exhibit 2.2 illustrates these projection decreases.

Exhibit 2.2 Projected Number of Firms in the Construction Industry



Details: United States; 2019

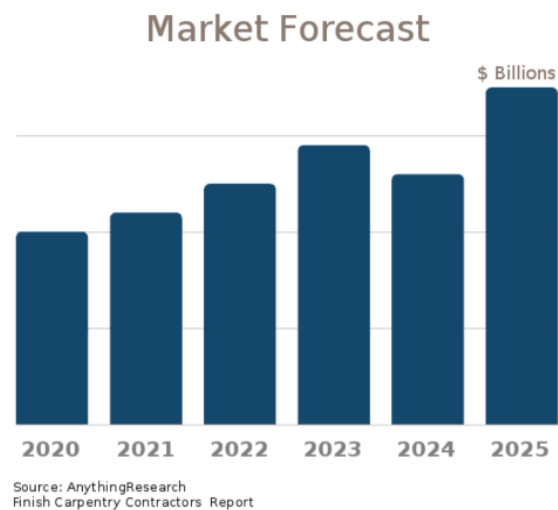
© Statista 2020

(Statista, 2019)

Moving into the more specific industry classification; AWI’s NAICS code 238350 includes 11,891 companies (NAICS, 2020). According to statistics by IBISWorld, the Finish Carpentry Contractors industry segment is projected to grow in a trajectory way over the next five years, through 2025 (IBISWorld, 2020). However, when it comes to revenue, growth is projected to be slower than it was in the last five years. This is in part due to the amount of new homes being built, which is smaller now than in the previous five years. In addition, the demand over the next five years is projected to fluctuate due to skilled workforce availability, economic prosperity, and competitive rates.

The Finish Carpentry Constructors industry value is projected to increase and expand through 2025 (AnythingResearch, 2019). Exhibit 2.3 illustrates this projection.

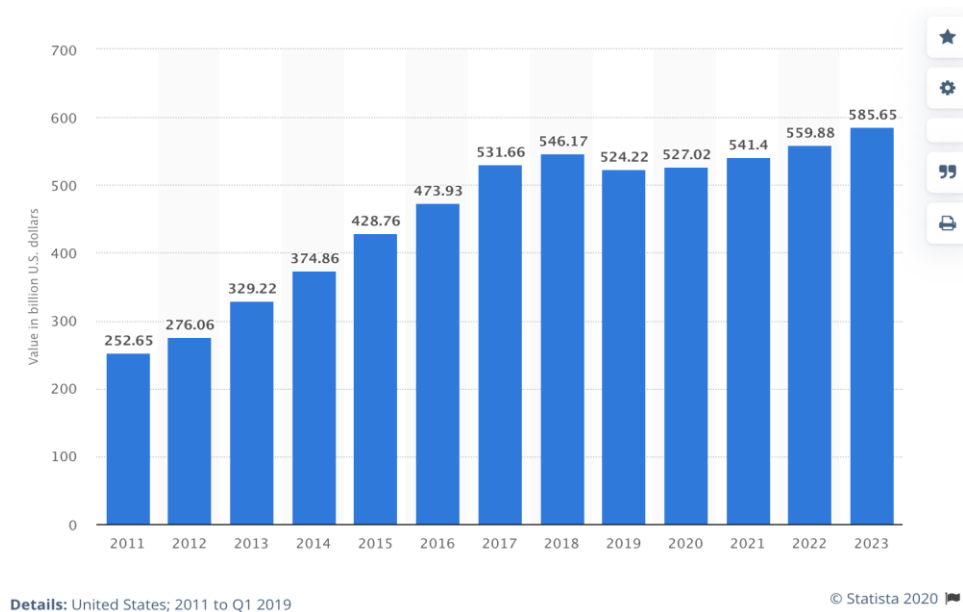
Exhibit 2.3 Finish Carpentry Contractors Market Value Forecast



(AnythingResearch, 2019)

On the other hand, Rhoads Estate Homes’ NAICS code 236115 - New Single-Family Housing Construction industry segment includes 359,337 companies (NAICS, 2020). According to statistics by IBISWorld, the New Single-Family Housing Construction industry segment is projected to continue growing at an overall rate of 3% (IBISWorld, 2020). The projection is a result of the continuous housing market expansion and growth. The federal regulations make it possible for various contractors to build new subdivisions and homes. The expansion of this segment is projected to occur through 2025 (Wang, 2019). Exhibit 2.4 shows the forecast for new residential construction put in place in the United States through 2023.

Exhibit 2.4 Forecast for New Residential Construction Put in Place



(Wang, 2019)

In the article, “Residential Construction to ‘Increase Substantially’ Come 2020” by Aly Yale, the author discusses the homebuilders confidence in the housing market. The author indicates that the residential market is expanding at a rate of 11.2% per year, which is exceeding expectations. Subsequently, the residential market is expected to deliver growth rates of 10%+ in 2020 and beyond (Yale, 2019). Analysis indicates that the market’s strong performance is often governed by economic conditions and the construction industry, specifically the housing market, is one of the best indicators of economic health. When the economy is strong, it is reasonable to expect equally strong growth from the construction industry. We will touch more on the impacts of the economy in the PESTDGE analysis section.

Rodrigo Sermenio, author of “Housing Slowdown Will Be Temporary” discusses the recent housing slump due to COVID-19 and its impact on the economy and market. The study states that the housing market activities slowed because of lockdown. The pandemic spread impacted all industries and the global economy and as a result, the housing market experienced a 6.7% decline. However, the sale of single-family homes experienced a 6.5% surge due to the cut in interest rates. The writer also discusses that the situation is temporary and projected to recover and return to normal once the pandemic situation is resolved. Workers and investors will be able to go back to work and confidence will then return in the market (Sermenio, 2020).

In summary, AWI competes in a highly concentrated industry known as the Finish Carpentry Contractors industry. This industry has witnessed significant growth in the last 5 years and is expected to continue to produce growth through 2025 so long as economic conditions remain favorable. When analyzing the opportunities that are present, economic conditions are a key indicator of industry potential. As the economy turns into a bear market, so does the construction industry. This correlation is evident in recent months as the industry has suffered a steep downturn due to the COVID-19 pandemic. This downturn is projected to be temporary and should result in minimal impact to AWI’s future project opportunities.

Herfindahl Indexes

The Herfindahl index classifies companies by their size and revenue per year, then uses market concentration rates to determine and predict the competitiveness within the industry. The Herfindahl Index is simply a percentage, which when analyzed will help determine what business strategy to deploy based on the environment.

In AWI’s case, the Finish Carpentry Contractors industry segment is classified by seven different revenue categories; \$1-\$499.99K, \$500K-\$999.99K, \$1M -\$2.49M, \$2.5M-\$4.99M, \$5M-\$9.99M, \$10M-\$24.99M, and 25M-\$50M. Total, there were 4,141 firms in the industry used for the analysis and the distribution of firms within the sales classification can be seen in Exhibit 2.5 (Bizminer, 2020). The results of our analysis show that the industry has a Herfindahl Index of 0.114%. The index of 0.114% indicates that the industry has many firms within it; as a result, it’s hard for one firm to influence it or dominate it and turn it into a monopoly. It is also fairly easy for new firms to enter this segment and generate profit. Most of the top revenue within this segment is concentrated in about 39 top firms but a majority of the firms operate as a small firm where the revenues are limited.

Exhibit 2.5 Finish Carpentry Contractors Industry Herfindahl Index

Sales Class	# Firms	Avg. Sales (\$M)
\$1 - \$499.99K	1851	0.3
\$500K - \$999.99K	1273	0.8
\$1M - \$2.49M	631	1.7
\$2.5M - \$4.99M	249	3.7
\$5M - \$9.99M	98	7.8
\$10M - \$24.99M	33	16.9
\$25M - \$50M	6	36.6
Herfindahl Index:	0.114%	

For Rhoads Estate Homes, the New Single-Family Housing Construction industry is classified by ten different revenue categories; \$1-\$499.99K, \$500K-\$999.99K, \$1M -\$2.49M, \$2.5M-\$4.99M, \$5M-\$9.99M, \$10M-\$24.99M, and 25M-\$49.99M, \$50M-\$99.99M, \$100M-\$249.99M, \$250M-\$500M. Total, there were 77,887 firms in the industry used for the analysis and the distribution of firms within the sales classification can be seen in Exhibit 2.6 (Bizminer, 2020). The results of our analysis show that the industry has a Herfindahl Index of 0.013%; which indicates that this industry is very saturated and has many firms within it. As a result, it's hard for one firm to influence it or dominate it create any sort of monopolistic environment. In short, the competition within the segment is fierce. It's fairly easy for new firms to enter this segment and generate profit and due to the low barriers of entry, many firms are quick to go bankrupt and leave the market. Most of the top revenue within this segment is concentrated within the top 11 firms but a majority of the firms operate as a small firm with revenues ranging from \$0-\$2.25M per year.

Exhibit 2.6 New Single-Family Housing Construction Industry Herfindahl Index

Sales Class	# Firms	Avg. Sales (\$M)
\$1 - \$499.99K	3623	0.4
\$500K - \$999.99K	19677	0.8
\$1M - \$2.49M	39647	1.9
\$2.5M - \$4.99M	7712	4.2
\$5M - \$9.99M	3391	7.9
\$10M - \$24.99M	2657	18.1
\$25M - \$49.99M	621	40.3
\$50M-\$99.99M	233	78.5
\$100M-\$249.99M	115	178.9
\$250M-\$500M	11	418.5
Herfindahl Index:	0.013%	

The factors mentioned above are contingent on the firm's ability to compete with other factors such as the political, economic, socio-cultural, technological, demographic, global, and educational factors. These variables will be analyzed in the next section.

PESTDGE Analysis

A PESTDGE analysis is designed to review the top political, economic, socio-cultural, technological, demographic, global, and educational factors that are impacting the construction industry. These external factors have an overarching impact on a firm's ability to be competitive within the marketplace and can be used to evaluate market strategies. Results from the analysis are often used to develop strategic direction and contribute to market research.

Political/Legal

AWI places high importance on sourcing materials from local suppliers due to the benefits of supporting small business and giving back to the community that the employees live in. Locally sourced supplies not only benefit small business, it allows AWI to eliminate the complexity of working with suppliers from different countries with different political/legal environments. This gives AWI a competitive advantage over companies who are working with other companies outside of the United States who are subject to an increased risk of macro events effecting trade. Supporting smaller and local businesses also limits the firm's ability to take advantage of cost savings generated when competing suppliers are present.

In addition to the risks and benefits of locally sourcing materials, there are risks present to the local political and legal environment to address. Most prominently are factors such as taxation, wage legislation, work week regulations in construction, mandatory employee benefits, and safety regulations. The US construction industry produces so many economic benefits that the United States Government gives construction its own branch of law; construction law. While we will not be going over the intricacies of construction law, it is important to note that AWI may be held to more rigorous laws because of the industry (Construction Law: What Contractors, Subs, and Suppliers Must Know, 2020). For this reason, it is important to review and consult with legal professionals.

Taxation, wage legislation, and mandatory employee benefits all have a direct correlation with the amount of revenue that AWI is able to generate. Work week regulations and safety regulations effect how AWI can operate in terms of employee utilization. Work week regulations limit the hours employees can legally work each week, which may be a challenge for AWI due to the limited number of staff and relatively large size of the projects they undertake. Thankfully, competitors have to adhere to the same set of standards so these factors should not drive competitive advantage or disadvantage.

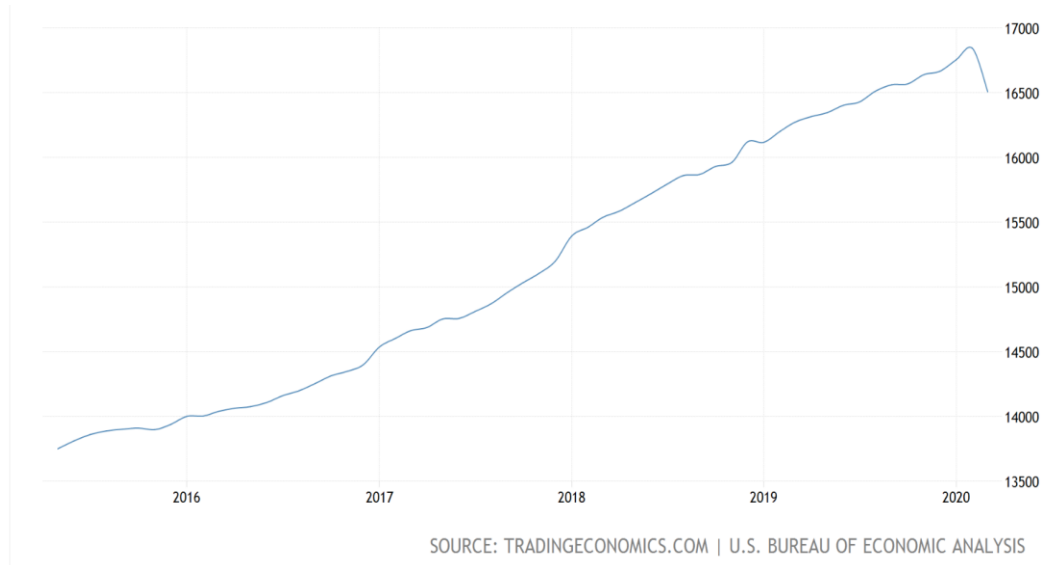
Economic

When looking at the economy there are several factors that impact AWI such as inflation rates, savings rates, interest rates, unemployment rates, and economic growth rates. While these

factors may affect the supply levels of AWI, they will more substantially affect the demand levels. It can all be easily explained by focusing on one key rate; discretionary income rates. Discretionary income is the amount of income that households have to spend on non-essential items known as luxury goods.

Since AWI is a premier remodeling and custom cabinetry contractor, they are in the business of selling luxury goods. Discretionary income and the demand for luxury goods are directly related, meaning, as discretionary income decreases, the demand for luxury goods also decreases. Vice versa, as the amount of discretionary income increases, the demand for luxury goods also increases. Economic terms aside, it makes sense logically; the less money people have, the less people spend on luxury items. Exhibit 2.7 shows the five year trend in the total value of disposable personal income in the United States in billions of dollars (United States Disposable Personal Income, 2020).

Exhibit 2.7 Total Value of Disposable Personal Income in the United States



(United States Disposable Personal Income, 2020)

As Exhibit 2.7 shows, the amount of disposable personal income has been steadily increasing over the past five years. This is a strength for AWI as it has a positive impact on the demand for their services and products. However, there is a dramatic decline in 2020 as a result of COVID-19. If this trend continues, AWI is at risk of losing customer demand and potentially needing to realign the business strategy.

Socio-cultural

AWI, and the construction industry at large, is impacted by socio-cultural factors. Examples of these factors include class structure and gender roles. These factors are interrelated and over time have had a significant impact on the workforce.

Both perception of class structure and perception of gender roles affect AWIs workforce. Right, wrong or indifferent, the construction industry carries the stigma of employing lower class individuals. The ambition to raise class status continues to lead more people to get a college education resulting in a smaller pool of skilled laborers. The skill labor trades have been pushing to break this social class stigma and reengage the interest of new generations. In addition, only 10% of the total workers in the construction industry were women in 2018 (U.S. Bureau of Labor Statistics, 2019). This lack of women in the industry builds the perception that construction and skilled trades are for men. Both of these perceptions significantly limit the pool of potential employees for AWI.

Technology

Technology has been one of the most aggressive and disruptive forces in recent memory. Factor's such as technological developments, technology's impact on product offerings, and rate of technological diffusion impact the construction industry. Technology is developing quickly as we see smartphones, tablets, automated equipment, drones, robots, and virtual reality being leveraged in the construction industry. All of these technologies have changed the way people do business. Directly relating to the construction industry, there are products that help with schedule coordination, preconstruction, and project management (Jones, 2020). Mobile applications increase the responsiveness field reporting and two way communication between the main office and the site workers, and many cloud base software programs allow data to be transmitted in real time. Technology also impacts what products and services are being offered. Before design programs, construction companies would share hand drawn versions of plans. Now, they have the capability of showing life like virtual models of the plans. This gives customers more faith and confidence in projects and can allow companies to raise their prices.

The third key factor is the rate of technological diffusion. In the construction industry the rate of technological diffusion is high, as many building processes are becoming automated. However, the Finish Carpentry Contractors industry and AWI in specific has a low rate of technological diffusion. The difference here being that this industry relies more on craftsmanship. While you could replace many of the functions of a craftsman with an automated tool, the hand work is what makes AWI's projects truly one of a kind. Technology still infuses into the industry on the business processes and program management sides but is not likely to completely diminish the industry.

Demographics

Within the construction industry workforce there are some key demographic statistics that are important to note. The average salary for carpenters is \$40,573 which is less than the average national salary of \$53,888. This could lead potential workforce away from carpentry and towards another profession. The average age of male carpenters in the workforce is 40.6, and the average age of female workers is 37.5 (Carpenters, n.d.). It is important to have a spread of ages in the workforce so that people are continuously getting trained and gain a deep understanding of the business. Without the spread, an entire group of workers could retire all at the same time and leave an underexperienced workforce behind. Caucasians make up 76.8% of the carpentry workforce, while 23.2% are of different ethnicities (Carpenters, n.d.).

In terms of demographics of the population, we are seeing Gen Z enter the workforce; many Millennials, Xennials, and Generation X people in the workforce. Baby Boomers are leaving the workforce for retirement. Millennials are, more than any other generation, burdened with massive debt. That, coupled with the increased ability and thus desire to travel, is causing people to opt for smaller, more temporary living arrangements (Ingraham, 2020). They are not showing the desire nor ability to build the level of home equity that previous generations have. This is a threat to AWI as they rely on people investing in luxurious homes.

Global

Though AWI is a local company, the construction industry faces issues with the global environment. Every project results in the emission of carbon dioxide, methane, and other waste that pollutes the air. The heavy machinery used for projects is impacting the earth's emissions (Tyler, 2017). With many people becoming more globally conscious of their environmental footprint, AWI can benefit from being a company that is low on heavy machinery utilization.

The construction industry has not experienced much global growth between 2012 and 2014. The top international contractors reported \$487.29 billion in contracting revenue from projects outside native countries. The contractors were able to generate \$1.148 trillion in revenue from domestic projects. Compared to the previous year, the revenue is down for contractors and it due to the limited amount of work. The limited amount of work is increasing the desperation and increasing the risk for more companies (Tulacz & Reina, 2019).

Education

The level of education to become a carpenter is a high school diploma or equivalent. Potential carpenters can get their education from a technical college and receive an associate degree in carpentry. An upcoming carpenter must have hands-on training and apprenticeships in order to undertake the job. For an apprenticeship program, the apprentice must complete 144 hours of technical training and 2,000 hours of on the job training. Carpenters must complete the Occupational Safety and Health Administration (OSHA) 10-hour and 30-hour safety courses.

A summary of the PESTDGE elements can be seen in Exhibit 2.8.

Exhibit 2.8 PESTDGE Analysis

	Opportunity	Threat
Political	• Taxation • Wage legislation • Mandatory employee benefits	• Work week regulations in construction • Safety regulations
Economic	• Inflation rates • Savings rates • Interest rates • Economic growth rates • Disposable income	• Unemployment rates
Socio-cultural		• Class Structure • Gender roles
Technology	• Technological developments • Technology's impact on product offerings • Rate of technological diffusion	
Demographic	• Salary • Gender • Ethnicity	• Age • Generation
Global	• Global environmental impacts	• Global industry growth
Education		• Education level • Employee training • Safety training

Porter's Five Forces

Porter's Five Forces model is an analysis tool used to better understand the competitive environment and the underlying profitability potential of an industry. A five forces analysis looks at five aspects of an industry's competitive structure; competitive rivalry among existing players, the bargaining power of buyers, the bargaining power of suppliers, the threat of new entrants, and the threat of substitute products. When these forces are strong, competition increases. This analysis defines whether an industry is attractive or unattractive from the perspective of a company competing in that industry.

The Five Forces model in Exhibit 2.9 shows us that the level of competitive rivalry in this industry and the related segments is high. Operators in this industry experience immense internal competition because of the numerous small-scale players in regional markets. Nearly two-thirds of the companies competing in the Finish Carpentry Contractors industry have fewer than ten employees resulting in several companies operating in local demands (IBISWorld, Lifschutz, 2019). The ease of entry into this industry warrants increased competition in periods

of high demand in the market, putting pressure on businesses because competitors can erode profits.

The bargaining power of buyers is high. The bargaining power of buyers describes when a buyer can drive down prices, bargain for better rates, and play competitors against one another. Strong bargaining power of buyers can eat into industry profitability. In the Finish Carpentry Contractors industry, the bargaining power of buyers is high because the buyer often experiences low switching costs and can find an alternative company to provide a similar work output.

After reviewing the position of suppliers within the industry, it can be inferred that the bargaining power of suppliers is low. The bargaining power of suppliers analyzes how much power the suppliers in the industry have to control prices, quality, or terms. It also assesses the number of suppliers available because the fewer suppliers there are, the more power they have. Businesses are in a better position when there are multiple suppliers because it forces the suppliers to remain relevant and competitive within the industry. Suppliers in the Finish Carpentry Contractors industry include lumber, tool & hardware, heavy equipment, and construction (IBISWorld, Lifschutz, 2019). Companies within this industry obtain products from dozens of manufacturers, which diminishes the supplier's leverage.

The threat of new entrants is high in this industry. The threat of new entrants evaluates how easy or difficult it is for a competitor to join the industry. The lower the barrier to entry is, the higher risk there is for depleted market shares. The threat of new entrants in the Finish Carpentry Contractors industry is high. There are a few circumstances that discourage newcomers in this industry. The six significant entry barriers include economies of scale, product differentiation, capital requirements, switching costs, access to distribution channels, and cost disadvantages independent of scale. The small-scale nature of establishments in this industry reduces the risk of these barriers, making the threat of new entrants significant.

The threat of substitutes is moderate in this industry. The threat of substitutes analyzes how easy it is for a consumer to switch to a business providing an alternative. The more attractive the price/performance ratio of substitute products, the tighter the lid on an industry's profits (Dess, McNamarra, Eisner, & Lee, 2019). The most significant disrupter to the Finish Carpentry Contractors industry is the excess of do-it-yourself (DIY) resources available to consumers via YouTube channels and other online resources. Carpenters are beginning to compete against DIY homeowners completing their own finish carpentry work at a fraction of the cost (IBISWorld, Lifschutz, 2019).

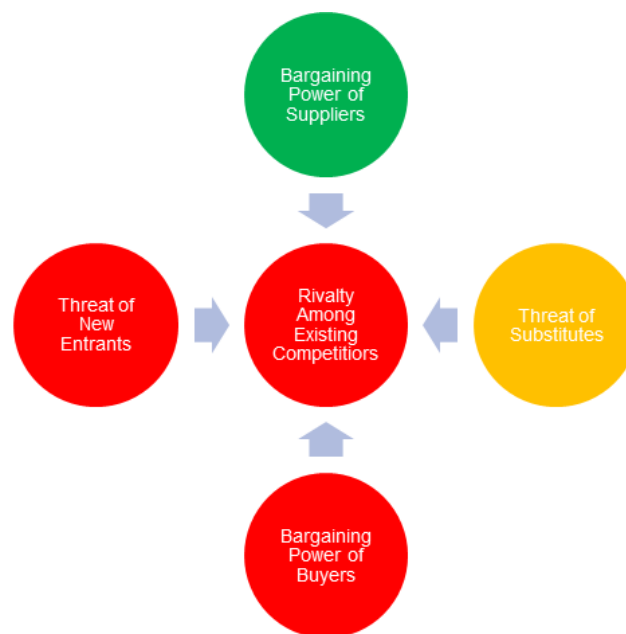
External Analysis Summary

In summary, the PESTDGE analysis can help AWI understand how they are positioned against macro-level variables. The firm is well positioned against current political factors such as work regulatory policies and safety measures. AWI exceeds standards of state code requirements to insulating and air sealing portions of their projects. In the future, AWI may need to look at ways to decrease the amount of taxes paid through separation of AWI and Rhoads estate. This would allow for AWI to increase profit contribution. Increased profit margins would help position the firm against wages and create a competitive advantage for the firm.

In regard to the macro-level economic variables, AWI is not positioned well, and there is a risk for decreased performance if and when the economy enters into a recessionary period. As stated, there is a high amount of correlation between the success of the US economy and the success of the construction industry. AWI needs to be prepared to support the business financially through fiscal responsibility during bull markets. This will once again create a competitive advantage and help business operations through tougher economic periods.

Finally, AWI has created a competitive advantage through the company's use of 3D renderings but there are opportunities present to implement technology to increase communication with their workforce. This would help create efficiencies and decrease the amount of downtime spent traveling from job site to job site. In addition, there are opportunities to provide further education to their workforce around job training and industry trends (What is 3D Printing?, n.d).

Exhibit 2.9 Porter's Five Forces Model of Industry Competition



In closing, Porter's Five Forces model helped us assess the competitive nature in the industry. We determined that the level of competitive rivalry is high, the bargaining power of buyers is high, the bargaining power of suppliers is low, the threat of new entrants is high, and the threat of substitutes is moderate. The Five Forces model section helped explain what these ratings mean for the businesses in the industry.

AWI



Internal Analysis

In this section we will take a close look at AWI itself. We begin by identifying some of AWI's strengths, weaknesses, opportunities, and threats in the SWOT analysis section. The strengths and opportunities should be leveraged to continue to achieve success. The weaknesses and threats should be monitored and, if possible, improved and turned into strengths and opportunities. Next we performed an analysis of AWI's assets; a VRIO analysis. Assets that are identified as valuable, rare, inimitable, and an organizational fit are sources of a sustainable competitive advantage for AWI. We recognize and explore the core competencies and challenges for AWI and then conclude the section with an explanation of AWI's strategic merge with Rhoads Estate Homes and other alliances.

SWOT Analysis

Strengths

AWI has many strengths. They are family oriented and most of their employees are related, which creates a strong bond between employees and a high amount of loyalty. AWI has a phenomenal brand reputation which allows most of their jobs to be generated from word of mouth or from existing customers. 90 percent of the jobs do not require bids. They are known for their superior design solutions and having the skilled workforce to make those designs a reality. AWI projects are high quality so the renovations last a long time. AWI is known in the community and believes it is important to give back to the community. Therefore, they are involved with a few charities and community outreach. They also foster bonds between employees through holiday parties, cabin retreats, and after work social events (Albrecht, Albrecht, & Albrecht, 2020).

Weaknesses

In terms of weaknesses, AWI is missing formal workforce hiring and training processes which is making it hard for them to hire and maintain new employees. On the hiring side, AWI's only source for job postings is through word of mouth hiring. They do not currently have internet exposure that would display openings. This limits the pool of people interested and applying for open positions. On the training side, once new employees enter the workforce they are put to work with the existing highly skilled workers. They are exposed to large projects which leaves room for them to feel overwhelmed. AWI also does not have a dedicated person for Human Resources so any employee issues are handled by the Chief Executive Officer. This can be intimidating for new employees (Albrecht, Albrecht, & Albrecht, 2020).

In addition, AWI is missing financial infrastructure such as financial forecasts, budgets, and key performance indicators. This has resulted in fluctuating financial performance and makes it difficult to plan for growth. We will touch more on financials in the industry financial analysis section.

Opportunities

There are two key opportunities that AWI can take advantage of. First, in the external construction industry there has been an increase in communication software utilization. Communication software could help AWI communicate between the home office and field which would increase efficiencies. Further, AWI could incorporate more technology in general which would help with automating some of the renovation work and would appeal to younger generations. Further there is an opportunity to grow the workforce because the number of employees in the construction industry is expected to grow. If AWI increases their workforce they would be able to take on more projects which would, in turn, increase the amount of revenue AWI would generate.

Threats

Although workforce growth is an opportunity, there are two key threats that stand in the way of AWI taking advantage of it. First, their workforce is aging and getting close to retirement. This will decrease the amount of AWI employees. With each person who retires a unique skill set goes with them. Not only does AWI need to hire people to fill their place, but they need time for their new employees to develop and learn some of the skills the older generations possess. Further, there is a threat that the workforce will shrink if AWI is not able to replace those retiring employees. If AWI is not able to attract new, loyal employees they will not achieve successful workforce growth. AWI must overcome the external sociocultural threats explored in the PESTDGE analysis such as class structure perceptions and gender roles to attract new employees.

Assets

In terms of assets, AWI possesses both tangible and intangible assets. Tangible assets are those physical assets that assist with the operations of the business and are typically easier to put a monetary value to. Three key tangible assets of AWI include the plant, or facility, in which AWI works, the tools used to design spaces and perform the custom woodworking, and any current inventory such as wood or nails. AWI reported \$220,136.87 of tangible assets between 2017 and 2019. The equipment and tools valued at \$127,793.39 were listed as the highest valued tangible assets on the balance sheet.

Assets that are typically not physically present and are more difficult to assign a monetary value to are known as intangible assets. These assets, however, make up a more significant portion of AWI, and most firm's values, because they can be contributed to a competitive advantage. A key example would be the valuable skills and knowledge of AWI workers in creating a unique, high quality, custom space. These skills and knowledge add intangible value to the company. In the Company History and Overview section we discussed how AWI focuses their marketing

efforts around mouth advertising to get repeat or new customers. This is commonly referred to as customer lists, and those relationships with customers have significant value. The firm is able to achieve success through this vehicle due to their reputation and skill set.

AWI's brand name and specialized knowledge within the workforce is the most valuable asset and helps to create a competitive advantage through brand equity. Coupled with the prestigious Rhoads Estate Homes brand name the intangible assets are valued in excess of \$1,250,000. This value was determined by adding the purchase price of Rhoads Estate Homes of \$500,000 and the estimated sale value of AWI at \$750,000.

VRIO Analysis

Now that we have established a baseline of assets, we will use a tool known as the VRIO analysis to determine how these, and other assets are supporting AWI's competitive position. The VRIO analysis is simply a list of assets that are analyzed to determine if each specific asset has *Value*, is *Rare*, is *Inimitable*, and is an *Organizational Fit*. When complete, the VRIO analysis determines if each asset is a source of a sustained competitive advantage for AWI. What is your competitive advantage? How close are your competitors to overtaking you? The VRIO framework will help you evaluate these questions.

Value asks if a resource adds value by enabling a firm to exploit opportunities or defend against threats. Resources are also valuable if they help organizations to increase the perceived customer value. This is done by increasing differentiation and/or decreasing the price of the product.

Rare asks if resources that can only be acquired by one or very few companies are considered rare and can provide a competitive advantage; however, when a few companies have the same resources or capabilities it leads to competitive parity.

Inimitable asks if the resource cannot be imitated, bought, or substituted it at a reasonable price by other companies. Imitation can occur in two ways: duplication or substitution.

Organizational fit asks if a company must organize its management systems, processes, policies, organizational structure, and culture to be able to fully realize the potential of its valuable, rare, and costly to imitate resources and capabilities. Only then can the companies achieve sustained competitive advantage.

There are several key assets that provide AWI with a competitive advantage. These assets include; joint partnership with Rhoads Estate Homes, brand recognition, specialized workforce, design solutions, luxury quality, and manufacturing capabilities. The joint partnership with Rhoads Estate Homes combined two high end, well-known companies in the Dayton area and gave AWI exclusive access to expand their custom cabinetry presence. This asset is not easily imitated and is being fully utilized by AWI.

As part of the identity of the company, AWI relies heavily on their reputation of quality craftsmanship and design solutions. These two assets are made possible by the manufacturing

capabilities of the firm through their consistent use of local suppliers and subcontractors and years of experience from their skilled labor force. All five of these assets deliver against the competitive advantage that is present today.

Finally, there is an opportunity to develop the workforce training program at AWI further. The workforce training asset scored low on the competitive advantage scale due to the lack of a structured program. The implementation of a workforce training program would further deliver a competitive advantage for AWI. Please see Exhibit 3.1 for the analysis of the specific assets that contribute to the overall makeup of the firm.

Exhibit 3.1 VRIO Analysis

	Valuable	Rare	Inimitable	Org. Fit	Competitive Advantage?
AWI's Partnership with Rhoads Estate Homes	Y	Y	Y	Y	High
Brand Reputation	Y	Y	Y	Y	High
Customer Lists	Y	Y	Y	Y	High
Local Connections	Y	Y	N	Y	Medium
Sub-contractor Utilization	Y	N	N	Y	Medium
Specialized Workforce Knowledge	Y	Y	Y	Y	High
Design Solutions	Y	Y	Y	Y	High
Luxury Quality	Y	Y	Y	Y	High
Manufacturing Capabilities	Y	Y	Y	Y	High
Internal Organization	N	N	N	N	Low
Workforce Training	Y	N	N	N	Low

Core Competencies

Now that we have looked deeper into AWI's assets, we need to identify the three main assets that serve as the core competencies. There are three assets that drive the largest amount of importance to the future of the AWI business. It is well known that AWI has established itself as a leading high-end luxury contractor, the core competencies must support this luxury market strategy. Therefore, the first core competency of AWI is the specialized knowledge and skills of the AWI workers. This competency allows AWI to produce a high-quality product that customers look for in their one of a kind space. The second core competency is AWI's exceptional quality in manufacturing capabilities. These capabilities are necessary for the luxury market. Finally, AWI's ability to work with the customer to create the perfect design solution is the final core competency. These design solutions keep the brand's reputation up in the community and allow AWI to continue to operate in the luxury market.

Challenges

Just as it is important to identify the core competencies, it is equally as important to identify the key challenges AWI faces. AWI's main challenge is workforce development which is necessary for the continued growth. The workforce in AWI is aging and will be looking to retire in the next decade. Without a structured workforce development plan, it will be difficult for AWI to attract and retain quality workers. These workers will not only replace those retiring but will also be used to grow the AWI workforce. The lack of workforce development is the singular most important consideration that must be remedied. The specialized knowledge and skills of the AWI workers is currently a core competency and a key advantage against competitors that AWI is at risk of losing if a successful workforce development strategy is not created. It is essential that one be created before the current workforce retires and is no longer available to train the new workforce.

A second challenge AWI faces is with technology. Specifically, AWI's technology lacks the ability to track and maintain real-time updates within project management. Though not as pressing as the first challenge, updated technological abilities will help keep the growing company organized and efficient. It can also help new workers feel informed, engaged in the work, and like a true part of the team.

Finally, AWI faces challenges around the high cost of goods sold. In 2019, the firm's cost of goods sold was around \$1,600,000, which is 74% of sales revenue while delivering a 26% gross profit margin. This is extremely low compared to the industry average of 39.78% and the Dayton area average of 42.82% (Bizminer, 2020). These two metrics conclude that AWI's performance was low compared to the industry in 2019.

Mergers and Strategic Alliances

In January 2016, R.A Rhoads became Rhoads Estate Homes and joined AWI in creating a single one stop shop for any high-end construction needs (Albrecht Wood Interiors & Rhoads Estate Homes, 2018). Rhoads Estate Homes' main focus is on the high-end custom homes and partnering with AWI for all of the remodels and custom cabinetry work (Albrecht Wood Interiors & Rhoads Estate Homes, 2018). The consolidation allowed the company to have a complete process for home development and renovations.

As a small company, AWI relies mostly on strategic partnerships over strategic alliances. In this case, we are distinguishing the two by saying strategic partnerships have some form of formal agreement or contract in place while strategic alliances are a more informal pairing of two parties. In both cases, the key is for both parties to mutually benefit by working together while remaining two separate entities.

Some of AWI's key partnerships include the essential subcontractors AWI utilizes to complete renovations. These subcontractors help with the electrical, plumbing, framing, etc. work required in the full scale remodeling projects (Company Strategy and Deliverables, n.d.). AWI benefits by having subcontractors who help you achieve the high quality renovations you are known for without needing your own staff who specialize in each of the areas. The

subcontractors benefit because they get additional work and can link themselves to the end product which helps build their reputation. AWI also has a strategic partnership with wood suppliers in the Dayton and Cincinnati area (Albrecht Wood Interiors & Rhoads Estate Homes, 2018). Though local wood may not be the cheapest option, sourcing materials locally is an added benefit to customers who want to keep their money local to support the local economy. This partnership helps build the brand reputation for AWI, while the suppliers get an increased demand for their products. The third main strategic partnership AWI has is with Dayton's Housetrends Magazine. AWI pays for a one-page advertisement in the magazine to help promote the business (Company Strategy and Deliverables, n.d.). In addition, the magazine covers recent projects that AWI has completed which helps them maintain prestigious content in their magazine, which ultimately helps them sell magazines (Dayton Digital Edition Archives, n.d.).

Working with subcontractors, suppliers, and Dayton's Housetrends Magazine are all formal partnerships that have been successful in helping AWI complete projects and build brand reputation. There are also a few key strategic alliances AWI has been involved in which are less formal. First, AWI has worked closely with high-schools to reach out to youth about careers in the skilled labor field. Brian Albrecht was quoted in a Dayton Daily News article on the Centerville High School skilled trades panel. In the panel he stated "now is the perfect time to get into these careers... This is a viable option that doesn't include a lot of college debt and is not a second-class option. Some kids are 100 percent better at this type of work than they are at sitting through a lecture" (Baker, 2019). This strategic alliance helps AWI engage with the community and talk with potential future workers. In addition, the school benefits by creating an event to support those students who do not know what they want to do in the future and helps introduce them to options. Though it has not proven successful for AWI in terms of increasing workforce, the interest has increased, and it is not an alliance that is expected to have immediate results.

AWI has also worked with the Dayton Children's Hospital by building them a playhouse for the Cha-Cha Auction (Albrecht Wood Interiors & Rhoads Estate Homes, 2019). This strategic alliance helped build AWI's community reputation, while giving the hospital an incredible piece for their auction. Success in this alliance is hard to measure because there are many reasons AWI has a reputation for caring about the local community. However, building the playhouse does align with AWI's strategic values; therefore, it was a successful alliance.

Internal Analysis Summary

After looking at an internal analysis of AWI, there are a few key points that have become clear. First, AWI's assets both tangible and intangible, are plentiful. The intangible assets are the key to AWI's value and make up the core competencies. Those core competencies are the assets that were found through the VRIO analysis to create the biggest competitive advantage. The three core competencies that provide the most value to the firm are workers' knowledge and skills, AWI's manufacturing capabilities, and AWI's design solutions. These three core competencies are why AWI has the necessary customer list and brand equity to operate in the luxury market. Continuing to build upon these core competencies while strengthening the challenges identified in workforce development and technology will be critical for continued success.



Competitive Advantage Perspectives

Customer Value Proposition

One of the main areas of focus for AWI is providing great customer service and listening to their customers desired finished product to create custom designs that are built with in house labor. AWI has developed customer relationships based on trust and a strong reputation for quality, high end woodwork within the Dayton Community. The company focuses on providing services for the entire project to ensure customer satisfaction throughout their desired projects. AWI can achieve high satisfaction based on their workforce experience, loyalty and exceeding customer satisfaction. The trust that has been built over the last 30 years has provided AWI with the ability to rely on word of mouth marketing.

Reasons for Success

AWI's successes can be attributed to their strong regional brand presence and customer loyalty. Through their attention to detail, high quality work and rigorous standards, AWI has successfully developed a reputation that is second to none within the Dayton area. A major contributor to their strong brand presence is the workforce that AWI employs. The skilled labor workforce at AWI has a combined 147 years of experience designing custom woodwork. The company has relied on this workforce to create the custom projects that they have provided to their clients.

The company further develops their success through their community involvement. AWI is primarily a family business that continues to give back to the community of Dayton through their involvement in the Dayton's Children's Hospital and their education programs, partnerships, and apprenticeships with local High Schools and Trade Schools (Albrecht, Albrecht, & Albrecht, 2020).

In 2016, AWI completed a merger with Rhoads Estate Homes (About Us, n.d.). The merger created a single one-stop-shop for any high-end construction needs and assisted in the process of extending the firm's reach for new clients. The merger positioned AWI to leverage the scale of custom home building that Rhoads Estate Homes provided to further expand the AWI brand and reputation. The merger of the two companies has allowed the overall firm to remain profitable due to the high overhead costs associated with the AWI portion of the business and is a key contributor to the firm's success in recent years.

Competitive Advantages

There are three competitive advantages that AWI possesses over their competitors. The first competitive advantage is their ability to create a seamless process throughout the homebuilding

process. The combined 147 years of experience of their skilled labor force provides the ability to charge a premium for their services and provide a sense of stability for their clients.

The second competitive advantage is the ability to charge a higher price than competitors. AWI does not hide the fact that they will likely be priced higher than their competition and does lose out on 80% of the bids that they usually put forth (Albrecht, Albrecht, & Albrecht, 2020). On AWI's company website, the firm focuses on high quality work and customer satisfaction as their core beliefs. The company has created a reputation and image that allows them to charge more for their custom work than their competition.

The third competitive advantage is AWI's knowledge of the industry. AWI focuses on high end clientele that have expensive taste. AWI's extensive knowledge and experience allows them to create a custom experience throughout the entire process and contributes to their impeccable reputation. The firm not only has customer knowledge but are experts of multiple phases of the home building process. They have master carpenters, architects, design specialists and experienced project managers. The subject matter experts help justify the ability to charge more than their competition can.

Corporate Social Responsibility

AWI participates in a moderate amount of social responsibility tasks. The firm uses eco-friendly products in all their projects and excels in exceeding state requirements for insulating and air sealing. The motivation to exceed the state standard is not necessarily due to the desire to be a better corporate citizen but rather to uphold their high standards of product quality. As previously discussed, AWI participates in philanthropic opportunities with the Dayton Area Children's Hospitals and local high schools. Finally, AWI stated that they try to recycle excess building materials when they can (Albrecht, Albrecht, & Albrecht, 2020). Overall, AWI is moderately participating in social responsibility activities.

Competitive Advantage Summary

AWI has done an excellent job building their reputation within the Dayton community and positioned their business to be a trusted community brand that thrives off of repeat customers. They have positioned their reputation and quality to allow themselves to gain work through word of mouth marketing and limiting their advertising expenses. The firm's combined 147 years of experience of skilled laborers has been the largest contributor to their reputation.

AWI participates in corporate responsibility activities when they can. They have an opportunity to increase their corporate responsibility activities to align more with the younger generation of customers as well as increase their communication to customers about their social responsibility efforts. The firm has positioned itself to charge a higher price than their competition due to the quality of output the firm creates. This has created a separation within the Dayton area and allows AWI to continue to only focus on high end, multi-million dollar projects. This creates the ultimate competitive advantage within the industry.



Business Strategy

As we discovered in the External Analysis section, the construction industry is highly competitive and saturated. The fact that the industry is in this position gives buyers a large amount of choice and it is important for AWI's strategy to foster growth and create points of difference for the business. The three generic strategies as defined by Michael Porter are Low Cost, Differentiation, and Niche strategy. Based on the positioning of AWI's model of providing high-end custom cabinetry, their ability to charge a premium for their services and the firm's reliance on word of mouth marketing, it can be determined that they fall under the Niche generic strategy.

Differentiated Niche Strategy

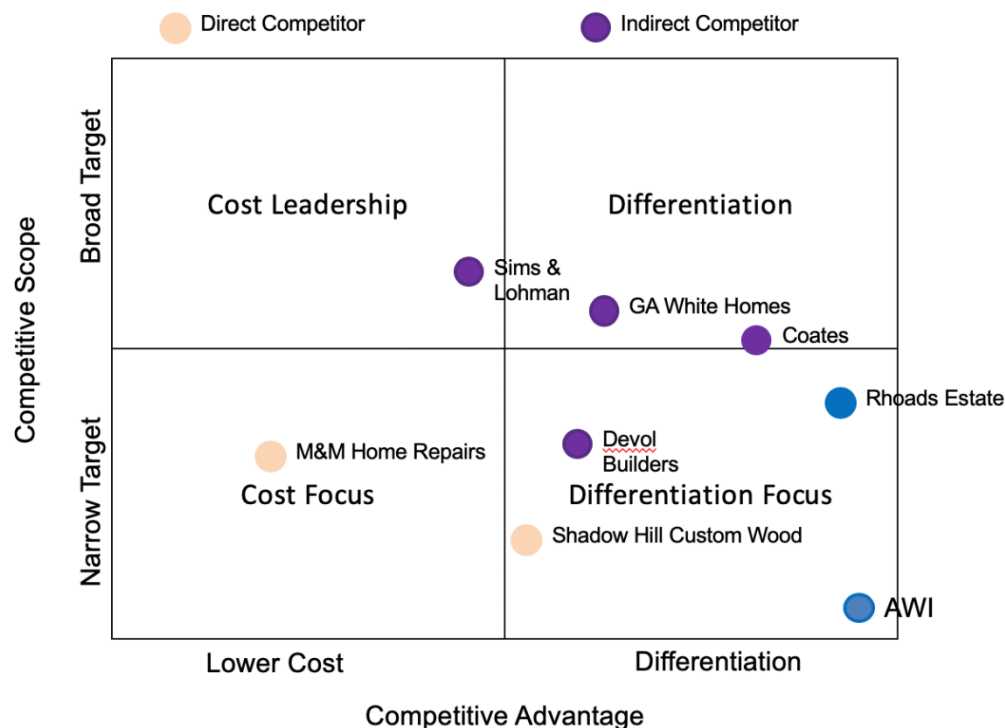
AWI operates under the Niche generic strategy. The Finish Carpentry Contractors industry focuses on the manufacturing of cabinetry for residential households. Within this industry, AWI has positioned themselves as a seller and manufacturer of high end custom made cabinets. AWI has identified their target market within the Dayton area as people looking for high end finishes during their home building or home remodeling projects. Over time, AWI has built a loyal customer base that has resulted in high referral rates and has helped build the company's reputation. Customers of AWI return for future remodel projects because of the high quality and customer satisfaction that is provided.

The firm is positioned to deploy a differentiated tactic in a saturated, well established industry. The Finish Carpentry Contractors industry has few opportunities to differentiate through innovation, which makes it difficult to create a true sense of differentiation from competitors. AWI is able to create a sense of differentiation through their custom cabinet manufacturing, something that few of their competitors are solely known for. The areas where AWI can create further separation from their main competitors is through the use of marketing and advertising. Currently, they participate in little communication due to the fact that they cannot absorb any additional work with their current workforce. AWI also needs to remain cautious around relying on word of mouth as it leaves the door open for new entrants into their extremely niche foothold.

The firm cannot rely solely on customers returning as remodel projects happen every 15-20 years. The firm is currently at risk of migrating out of a place of differentiation. AWI can help limit the risk by creating new innovation to help further solidify through differentiated niche positioning. Finally, the firm must be cautious moving forward as consumer's preferences change and the landscape of the industry will need to change with it. Will consumers demand for custom high-end finishes continue to grow? Or will AWI need to pivot their strategy to adapt

to changing consumer's needs? Please see Exhibit 5.1 demonstrating the position of AWI against its main competitors.

Exhibit 5.1 AWI Competitive Landscape



Regarding their organization structure, the firm is well positioned within the outline of a niche strategy. The firm follows a Matrix organization structure which allows for all employees to be empowered to create their own experience and decisions on the job site. The firm currently has one Project Manager who oversees each skilled laborer that is on the job site. This form of management provides the autonomy that is needed for each laborer to respond to customer's needs. The area of caution that needs to be pointed out is that it would appear that both John and Brian are listed as Project Managers, which can create confusion for subordinates who need to answer to two superiors. This is not aligned with a true Niche strategy organizational structure.

Value Added Drivers

There are three key areas to focus around that help a firm drive financial performance. They each serve as an integral part of the value chain and can significantly impact profit contribution. The first area that we must address is the logistics piece of the business. Based on the current workforce, the firm operates at maximum capacity for the workload. This allows AWI to maximize their return on hours and would benefit from being able to increase their project workload to increase their overall gross sales. The supplier bargaining power within the industry is high and AWI would benefit from decreasing their overhead costs by finding efficiencies within the supply chain.

The second area of focus is around the operations of the business. AWI creates their competitive advantage through the operations portion of their business. The firm creates custom designs and woodworking finishes that exceed customer quality expectations and builds the brand equity of AWI. This has an effect on both the asset management and the customer service portion of the business. This area drives the most significant portion of revenue for the firm and can significantly increase the profit margin when expenses are managed appropriately. AWI also utilizes subcontractors for many of their remodel projects, which is industry standard. Could the firm benefit by hiring another employee to handle some of the subcontract work?

The third area of mention is the marketing & sales area of the business. AWI relies on word of mouth marketing to generate new client leads and is known for retaining relationships with their customers. They consistently work with their clients to develop and create customized projects. Word of Mouth advertising is great to keep their advertising expenses down and also puts the firm in a position to lose leverage when bidding jobs. The more projects that are in the pipeline, the more selective the firm could be when choosing which projects to take on. There is a fine balance between retaining customers and acquiring higher, more margin accretive projects.

In the future, AWI must remain focused around increasing their profit margins through efficiencies while remaining true to their core business values of family and craftsmanship. There are currently opportunities to increase their maximum capacity within the workforce through hiring additional skilled labor which will allow AWI to increase their project capacity and increase revenue. The firm must also look for ways to decrease their cost of goods through diversifying their supplier base. AWI could benefit from a larger advertising presence, which would allow for the firm to have more projects to choose from and put the firm in a position to manage the number of projects that provided the largest gross margin sales.

Competitive Analysis

Due to the competitive nature of the construction industry, each company needs to own its strategy and flawlessly execute to maximize firm performance. To optimize a firm's potential, firms must create a competitive advantage around their services to remain at the forefront of customer-preferred contractors. This optimization is critical, considering that repeat and referral work makes up most of their business.

The Finish Carpentry Contractors industry consists of operations primarily focused on finishing work, including framing, carpentry, and renovation work on the interior of buildings. To date, the Dayton, OH market area includes 44 competitor business operations comprising the Finish Carpentry Contractors industry sector. Among these 44 businesses, 37 of these fall within the small business definition of single-site firms with fewer than twenty-five employees (IBISWorld, Competitive Market Narrative Series, 2019).

According to IBISWorld and online rating companies such as Angie's List and Pro Home Advisor, there are several key attributes that consumers look for when selecting a contractor to perform a job. The main components identified were quality, professionalism, responsiveness, punctuality, price, and reputation (IBISWorld, Lifschutz, 2019). These all point to critical components of a contractor's perceived value. A customer considers quality as a work product

with minimal defects and little to no required rework. Often tied to quality is the price. Customers want to feel as if they are getting the best quality job and experience aligned with the price they paid. Price becomes a concern when the customer does not understand the costs incurred that drive rates. Transparency around cost lends to an honest and trustworthy contractor. Having a good reputation is crucial for contractor selection because switching costs for consumers are low, and word of mouth is powerful for referral work. Companies need to maintain a position reputation by continually upholding high-quality standards, efficiency, and professionalism.

A 2015 Angie's List member survey showed that a staggering 80 percent of the time when customers expressed dissatisfaction with a service provider, a lack of professionalism was to blame (Angie, n.d.). Professionalism is always at the core of almost every client interaction in the contractor's world, which includes showing up on time, being reliable, and having a positive attitude. Based on these attributes, we will compare AWI and Rhoads Estate Homes to six competitors within the Dayton, OH market on quality, price, reputation, and professionalism.

Exhibit 5.2 AWI Competitive Comparison on Quality, Price, Reputation, and Professionalism

	Quality	Price	Reputation	Professionalism
Albrecht Wood Interiors	High	High	High	High
Rhoads Estate Homes	High	High	High	High
M&M Home Repairs	Low-Moderate	Low	Moderate	Moderate
Shadowhill Custom Wood	Moderate	Moderate	Low-Moderate	Low-Moderate
DeVol Custom Building	High	High	High	High
Sims-Lohman	Moderate	Moderate	Moderate	Moderate
Coates Custom Homes	High	High	High	High
GA White Homes	High	Moderate-High	High	High

Direct Competitors

Based on the business strategy, niche differentiation, executed by AWI, there are minimal direct competitors in the Dayton, OH metro area. The top competitors identified as operating within

the same NAICS code of 238350 Finish Carpentry Contractors industry are M&M Home Repairs and Construction, LLC, and Shadowhill Custom Wood.

M&M Home Repairs

M&M Home Repairs services include crown molding, wainscoting, baseboards, shoe mold, chair rails, window and door trim to stairs, staircases, railings, cabinets, shelving, bars, bookcases, entertainment centers, custom cabinetry, fireplace mantels and cabinetmaking in the Dayton area (Home Remodeling & Improvement Contractors in Dayton, Ohio, n.d.). M&M Home Repairs operates in a cost-leadership generic strategy quadrant, meaning they have low costs and operate in the broad market. However, they are a direct competitor based on their services provided for detailed and high-quality woodworking in the same geographic area. Additionally, they have been operating in the Dayton area for over 30 years, gaining name recognition and a customer base across the region.

Shadowhill Custom Wood

Shadowhill Custom Wood has provided services to both residential homes and commercial businesses in Dayton, Cincinnati, and the Miami Valley for 20 years. Richard Wallis, an artisan with 24 years of experience, leads the craftsmanship of Shadowhill. They focus on custom woodwork and finish work with honed design skills using high-quality materials. Every project they do is custom designed and built to suit each client and their home. Their projects utilize top quality materials including wood from species ranging from alder and quarter sawn oak to 150-year-old wormy chestnut salvaged from barns to tropical hardwoods. They provide high-end custom finish work, including constructing bars and wine rooms, studies, and restoration (Shadowhill Custom Wood, n.d.). Shadow Hill operates within a focused cost-leadership quadrant, meaning they have moderate cost serving a narrow or niche market.

Indirect Competitors

The construction industry is highly competitive and often saturated. Often, competitors in this industry do not operate within the same sector because of the diversity of services offered. The following are companies identified as indirect competitors of AWI in the remodeling category and new residential construction category.

DeVol Custom Building

DeVol Custom Building provides full service high-end residential new construction and remodeling, including design, budget, selection, and build (Daniel DeVol Custom Builder Inc., n.d.). DeVol Custom Building is an indirect competitor based on their scope of work around renovation and new construction that aligns with Albrecht and Rhoads. DeVol has operated in Dayton for 24 years, gaining local recognition for their credentials and contributions to the homebuilding industry and his thought leadership (Best Custom Home Builders in Ohio: Before & After Photos, 2020). Additionally, they are servicing clientele within the same income bracket. DeVol estimates that, to date, he's completed more than 100 custom homes in Dayton, Springboro, Bellbrook, and Anaheim. Prices range between \$500k and \$4M. This price range

indicates that DeVol competes with AWI and Rhoads Estate Homes when new customers are seeking these services. DeVol executes the same generic strategy as AWI, focused differentiation, high price, and narrow, or niche, market.

Sims-Lohman

Sims-Lohman is a family-owned cabinet distributor and fabricator of countertops. They are the nation's largest Masterbrand cabinetry distributor and carry a variety of other specialty lines. They provide design teams to assist in executing the buyer's vision (Granite Countertops and Cabinetry for your kitchen and bath, n.d.). Sims-Lohman is an indirect competitor based on their scope of work around complete kitchen remodel, providing both design and material. Sim-Lohman executes a differentiation strategy with moderate price and broad market

Coates Custom Homes

Because of AWI's close operation with Rhoads Estate Home residential construction business, we have identified competitors within this sector as well. Coates Custom Homes, serving southwest Ohio for over 50 years as a full-service custom builder. They pride themselves on their quality and craftsmanship when delivering custom designed homes with lifestyle and budget in mind (Coates Custom Homes, n.d.). They have been identified as an indirect competitor of AWI because the carpentry industry heavily depends on demand from the building construction industry. Rhoads Estate Homes operates within the same industry as Coates Custom Homes.

GA White Homes

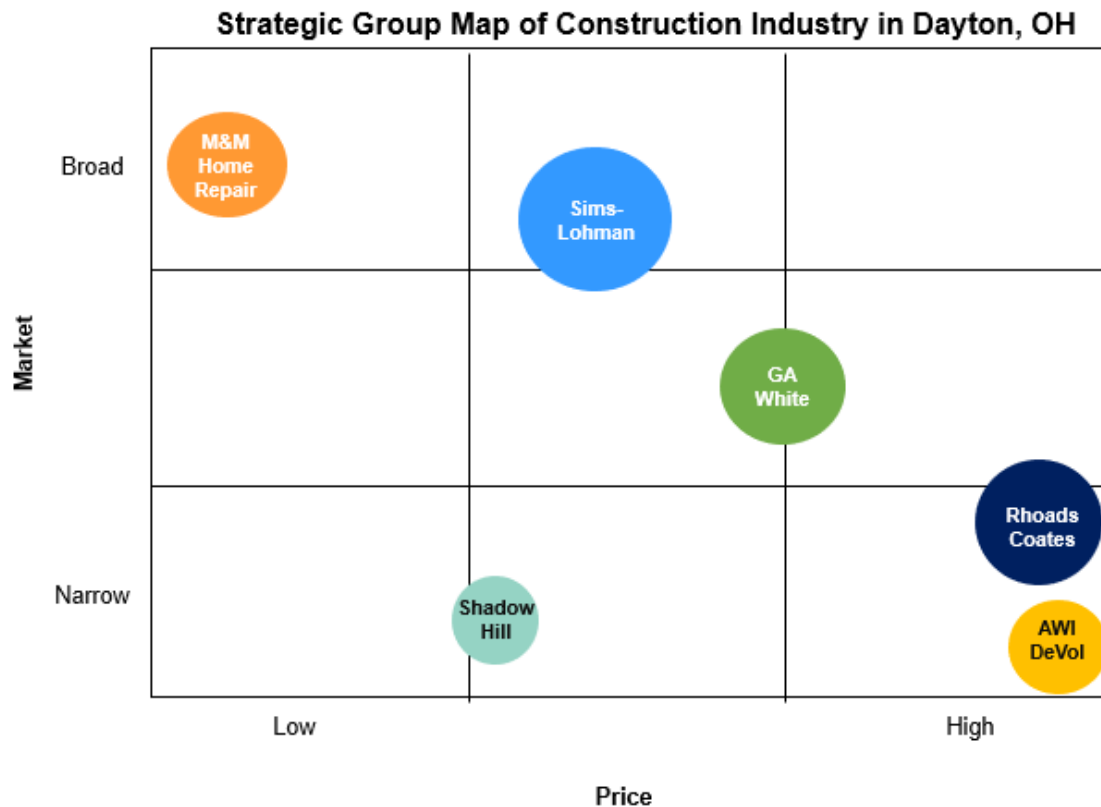
Like Rhoads Estate Homes and Coates Custom Homes, GA White Homes builds custom homes, residential buildings, and has created neighborhoods throughout the greater Dayton area as well as Columbus and Cincinnati (Custom Home Design and New Home Construction, n.d.). GA White Homes is family-owned and operated. Gordon White, president, and founder has specialized in building custom homes for over 30 years and commercial projects for the past 12 years. Gordon White now has brought his two sons, Shawn and Chad, as well as family member, Jason Hess, into the business bringing on the second generation of quality (G.A. White Homes, Inc., n.d.). This company has name recognition in the local area. Bringing in family lends to the comfort of a succession plan being put in place to continue building their reputation after Gordan White steps down. They currently operate within a differentiation strategy, moderate-high price, and servicing the broad market.

Strategic Groups

The competitive analysis around the main competitors of AWI would suggest that there is an opportunity to identify strategic groups around price/quality and market type. These attributes would indicate that the companies within the strategic group are all deploying various generic strategies. An approach to identifying these two dimensions is through strategic grouping on a quadrant based on two aspects. Strategic group mapping is a great visual technique for displaying the competitive positions that rival firms occupy in an industry.

In relation to AWI's generic strategy, these companies operate in strategic groups as pictured in Exhibit 5.3.

Exhibit 5.3 Strategic Group Map



The strategic groups identified above are based on each firm's generic strategy and similarities in principle that each firm values. AWI and DeVol both focus on high end remodeling projects that are niche, and differentiation focused. These two firms are both well recognized within the Dayton community, rely on reputation and word of mouth to generate new business, and provide full service solutions for their clients remodeling ideas. This includes design, budget and custom remodels. The firm that could enter this strategic group is Shadow Hill custom woodworking. Currently, Shadow Hill operates in a narrow market but focuses primarily on moderate remodel projects. They have the capabilities and skills to produce high end finishes and could be a threat to the strategic grouping of AWI and DeVol in the future if they decide that their competitive advantage could push AWI and DeVol towards the middle of the generic strategy model.

Rhoads Estate Homes and Coates Custom Homes are both positioned as high end custom home builders that share target markets and prospective consumers within the Dayton area. Both firms focus on full service solutions from budgeting to finished projects and only provide Custom Home building solutions. Each firm is categorized in a niche market that is focused on differentiation from its competition. GA White is a major threat to enter the strategic group of Rhoads Estate Homes and Coates Custom Homes. GA White currently focuses on a broader geographic area and builds both commercial and residential properties. The firm currently does

not provide as personalized of options within their business model such custom finishes but still produces high end homes and customized designs for their clients. If GA White moves closer to the Dayton area and centers their focus around residential builds within the Dayton area, they would fit into this strategic segment.

Industry Financial Analysis

There are several key indicators that AWI can address to evaluate the firm's financial performance. On average, the company's account receivables to account payables ratio is 0.88 which indicates that the firm is barely breaking even on sale and would benefit from waiting longer to pay suppliers to generate more cash flow.

The solvency ratio on average fluctuated between -0.06 and 2.63 over the past four years for AWI while the construction industry average rate is 2.6 and the Dayton area average is 2.2 (Secureii, 2019). The solvency ratio indicates whether a company's cash flow is sufficient to meet its long-term liabilities. The lower a company's solvency ratio, the greater the probability that it will default on its debt obligation. During 2017 and 2018, AWI's financial statement performed poorly due high debt and financial obligation that did reflect poorly on the firm. However, AWI bounced back in 2019 and performed in an efficient manner which netted the firm a solvency ratio of 2.63.

The debt to equity ratio is used to evaluate a company's financial leverage and is an important metric used in corporate finance. The ratio measures of the degree to which a company is financing its operations through debt versus wholly-owned funds. More specifically, it reflects the ability of shareholder equity to cover all outstanding debts in the event of a business downturn. Over the past four years, AWI generated ratios between 0.49 and 12.15. Using the total debt to equity ratio, we see that for each dollar of equity, AWI has debt of 0.49, 2.68, 5.50, and 12.15 ratio of debt over the last four years. AWI has been a high risk for creditors which could hurt their line of business. A high debt to equity ratio could result in a decline in loans and financial credits that are necessary to obtain in order to keep the business floating. However, in 2019, AWI sustained a ratio 0.49 which is the best rate for the firm over the last four years. This means that AWI has 0.49 cents of debt for every dollar spent. Maintaining a low D/E would make AWI a low risk to banks and creditors which would help the business over the short-term and long-term haul. D/E ratio is critical to all creditors prior to issuance of loans to businesses.

Total-debt-to-total-assets is a leverage ratio that defines the total amount of debt relative to assets owned by a company. Using this metric, analysts can compare one company's leverage with that of other companies in the same industry and can reflect how financially stable a company is. The higher the ratio, the higher the degree of leverage and, consequently, the higher the risk of investing in that company. Over the past four years, AWI sustained rates of 0.73, 0.85, 0.92, and 0.33. The rates have been trending upward over the first three years which made AWI a high risk firm to invest in. However, in 2019, the firm performed better than all previous years and netted a ratio rate of 0.33. the lower rate made AWI a less risky firm to invest in it.

Finally, AWI delivered a high cost of goods sold as a % to sales in 2019 compared to main industry competitors. The firm posted a 73.69% compared to industry averages of 60.22% and

Dayton area average of 57.18% (Bizminer, 2020). The main cost drivers for AWI are the cost of goods sold, Shop Expenses, Auto Expenses, Salary & Payroll, and Depreciation expense. This comparison indicates that AWI did not control overhead costs concerning the others within the industry. Their gross margin percentage of 26.31% is low compared to the industry average of 39.78% and Dayton area average of 42.82% (Bizminer, 2020). These two metrics conclude that AWI's performance was low compared to the industry in 2019.

To position the company for future success, AWI must focus on increasing their accounts payable to increase the amount of cash the company has on hand. If this is not an option with their suppliers, it would be expected that the firm receives a discount for their prompt payments. Having cash on hand would allow the firm to pay off debt quicker, increase their overall equity and have an emergency fund of equity for down economies. Finally, the firm must focus on opportunities to decrease their cost of goods. This is the largest factor in the firm inability to produce a higher net profit margin.

Business Strategy Summary

AWI has positioned their business to execute a differentiated strategy in a niche market. The firm has successfully kept prices high because of their reputation for quality and customer service within the Dayton area. AWI has successfully positioned the company to create an expectation that they will be the highest priced within the market and that customers should expect that when they quote a job. With high prices comes high levels of customer service and craftsmanship. These two attributes allow for AWI to fall within the differentiated and niche generic strategies.

The company organization chart is aligned to put AWI in a position to succeed in a niche strategy and their positioning on price in a narrow market have contributed to their success to date. It is important to remain positioned as a matrix style organization with skilled laborers reporting to single project managers. This will allow the firm the flexibility and autonomy to deliver results.

There are very few competitors that follow the exact market strategy that AWI deploys around the custom woodworking portion of the business. There are several competitors on the remodeling side of the business that can be classified as indirect. AWI is unique in that the firm specializes in custom woodworking projects and uses this as an asset to their business operation and intangible reputation. This customized offering furthers the position of the firm and helps differentiate from direct competitors such as M&M Home repairs and Shadow Hill custom woodworking. The two direct competitors are positioned to be more cost effective and operate in broader markets.

AWI's experienced workforce is a major reason for their reputation and also the poor management of cost of goods sold, which consistently and significantly under performs their competitors as a % of net sales. The average cost of goods sold for AWI as a % of net sales is 72% over the last 4 years compared to 57% their competitors delivered. This is one indication of their high overhead costs.

Overall, AWI has been successful at developing strategic coherence across their business operations. The firm needs to remain focused on optimizing their value added chain and control overhead costs to position the firm for future growth. Finally, the organizational structure is important to keep in mind that as the company changes management and personnel over the next five years. If the structure changes, it could have a negative impact on business operations.



Conclusions

Over the last 21 years, AWI has been a family owned business that has built a reputation within the Dayton area as a high quality, high end, and service oriented cabinetry manufacturer. The firm has found its success through word of mouth marketing, employing highly skilled laborers, and customer loyalty. It is fair to say that AWI built their business on these principles and as the industry begins to pivot to accommodate for the world around it, AWI will need to evaluate their business operations. From our detailed analysis we have identified a few key external and internal conclusions which we used to build our two key recommendations.

The first external conclusion is that there is a labor shortage which is driven by the sociocultural stigma, class perception, and gender roles surrounding the construction industry. This conclusion comes from the PESTDGE analysis. There is a macro level stigma associated with trade professions, particularly from millennials and gen Z. Students and young adults are trained in adolescence that they need to obtain a four year degree in order to have a middle class lifestyle. In addition, there are subconscious perceptions present that those who work as skilled laborers are lower class citizens than those who work in Corporate America. There is also a perception that trade oriented careers are only for the male gender. These three factors have created a labor shortage that AWI must overcome in order to grow the workforce and replace the aging employees who will soon reach retirement.

The second external conclusion is that the Finish Carpentry Contractors Industry segment is growing in both the number of firms and the amount of revenue generated. This shows that AWI is in a viable industry segment and that there is potential for AWI to grow. However, we saw that the industry segment is expecting a decrease in the labor pool. However, our internal conclusion is that AWI is not equipped to grow with the industry. The residential construction industry has a high correlation with economic performance, which has seen record increases in recent years. The housing industry in particular has been thriving. In the last 4 years, sales revenue at AWI has decreased by -22%, compared to an industry average growth rate of +11% since 2016 (Yale, 2019). The growth projections for this industry are not expected to slow down any time soon and are expected to deliver +5% compound annual growth through 2025 (Yale, 2019). Based on the size of AWI labor force and their financial management positioning, AWI is not equipped to keep pace with industry growth projections.

In the economic analysis we saw promising economic factors that showed an increasing demand for luxury goods. Since AWI has a differentiated, high end, business strategy they will benefit from the increasing demand in luxury goods. It was also identified that there is a low bargaining power of suppliers. This creates an opportunity for AWI to negotiate a lower price for supplies. The shifts in supply and demand also increases the value, or price that AWI can charge customers.

On the internal side, we identified that AWI is a leader in their market space. Due to their highly differentiated and narrow market business strategy, AWI operates nearly unrivaled in the industry. There are no other competitors in the market that produce the same level of luxury as AWI. This is in part due to the intangible assets that are creating a sustainable competitive advantage for AWI. Their brand reputation helps them build customer lists of repeat customers, without investing heavily in marketing. The design solutions that AWI creates are far superior than competitors and their specialized workforce has the knowledge and skills to make those designs a reality. This is why AWI has seen success.

There are three key internal conclusions that show room for improvement for AWI. These are the conclusions that we build on in the recommendation section.

First, we have concluded that AWI is missing an infrastructure to manage their financials. In the Industry Financial Analysis we saw that key financial ratios varied greatly over the past few years. This demonstrates that AWI is not intentionally making key financial decisions. There is an opportunity to benefit from setting financial parameters that AWI should try to stay within. We will explore this conclusion further in the recommendation section.

Another key internal conclusion the team determined is that AWI lacks formalized hiring and training programs. Based on our SWOT analysis, AWI has a weakness because their only source for job postings is word of mouth since they do not have internet exposure that would display openings. Currently, AWI does not have a formalized hiring process because of the low amount of hiring the firm has generated in recent years and thus serves as an area of opportunity for AWI to develop. Through our focus around workforce development, it is also apparent that there is no formalized training program, which has resulted in high turnover rates for new hires. It is imperative that AWI develops a formalized hiring and training process to maintain their competitive advantages.

Finally, we have concluded that AWI is missing key performance indicators (KPIs). Without KPIs it is hard to hold AWI accountable for achieving yearly results. Whether the firm is measuring their process to hire and train new employees, managing the sales revenue generated in a year, or managing expenses, there needs to be an established baseline in place so decision makers can make smart decisions that will help them achieve their desired results.



Recommendations

Our recommendations can be broken down into two areas; financial management and workforce management. Based on the conclusions outlined above, we have determined that AWI first needs to implement a system to manage their overall financial performance and set financial KPIs. These will help break down financials into manageable pieces, which can be easily tracked to ensure AWI is achieving their financial goals. This will give AWI more ability to invest in new employees and help attract and develop them. We have also determined that AWI needs to implement a formal hiring and training process and set workforce KPIs. These will help AWI attract, build, and retain qualified employees. We will first take a closer look at financial management.

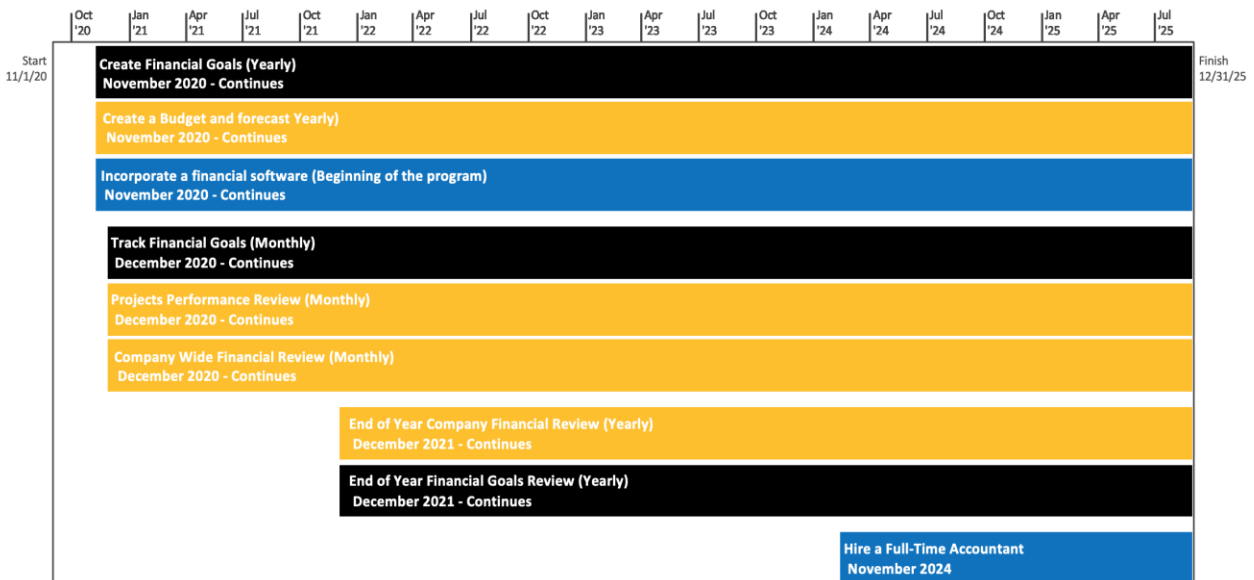
Financial Management

Our recommendations for financial management are that AWI develops an infrastructure to manage overall financial performance and establishes financial KPIs. This section will provide additional analysis and give suggestions for how to achieve these recommendations.

Financial Infrastructure

It is beneficial for AWI to create financial goals and projections that forecast desired net profit. Yearly goals would help AWI to set up a benchmark on a monthly basis and a yearly basis. Exhibit 7.1 illustrates our timeline for incorporating the financial infrastructure.

Exhibit 7.1 Financial Infrastructure Timeline



Once a timeline is created, the utilization of a forecast will let AWI see financial potential in different scenarios and make net income growth seem more achievable. The best place to start when creating a financial forecast is to look at historical financial sheets. It is important not to deviate too far from past values as it could cause projections to be unrealistic. AWI should project manageable ways to increase income. This could be either keeping the same number of projects in a year but making sure they are higher revenue projects or increasing the number of projects done per year. Next, AWI should look at manageable ways to decrease expenses. Separating variable and fixed expenses is critical as fixed expenses should not be decreasing in projections. Then AWI should try to decrease total variable expenses by only a few percentage points. They should determine potential areas which they could feasibly decrease without putting strain on the company.

Once the forecast is created it should be reviewed regularly on a monthly basis and a yearly basis, as it can serve as a budget. AWI is currently lacking in the budget area. As we saw in the SWOT analysis, whenever a specific department needs additional funds, leadership simply adds additional funds to the department. This makes it easy to lose track of financial goal progress. There are numerous tools out there that could help AWI build a financial budget such as Freshbooks, Sage 50cloud, Xero, FinancialForce Accounting, Adaptive Insights, Quickbooks, Float, Coupa and Tagetik. AWI can use their forecasts and these budget tools to track their progress and make sure they are on track. If they see that an expense line needs to go over the forecast they can reallocate the cost reduction to a different expense line to still try to achieve the net income goal.

We created an example financial projection spreadsheet that AWI can build off of. In our projection we have 2019 net income doubling by 2024, from approximately \$205,000 in net income to approximately \$414,000. Three key changes were made to achieve this goal. First every year we increased the number of projects by one project. To forecast the numbers we

converted each row (except for fixed expenses) into a per project number and then multiplied it by the number of projects in that year. Fixed expenses remained constant over every year. Next, we decreased job materials by 3%. We will expand on our rationale behind this cut in the financial KPIs section. Finally, we added in a savings in variable expenses row. This row calculates 3% of variable expenses which is then subtracted from the total expenses row. The savings in variable expenses row represents the amount AWI would cut from any combination of the white cells under the expenses section. Our Financial Projections can be seen in Exhibit 7.2.

Exhibit 7.2 AWI Five Year Financial Projections

Albrecht Wood Interiors, Inc. Financial Projections 2020 - 2024							
	2019	2020	2021	2022	2023	2024	NOTES
Revenues	15	16	17	18	19	20	Numbers of projects per year
Sales	\$ 2,190,975.86	\$ 2,337,040.92	\$ 2,483,105.97	\$ 2,629,171.03	\$ 2,775,236.09	\$ 2,921,301.15	
Miscellaneous Income	\$ 323.95	\$ 345.55	\$ 367.14	\$ 388.74	\$ 410.34	\$ 431.93	
Total Revenue	\$ 2,191,314.81	\$ 2,337,402.46	\$ 2,483,490.12	\$ 2,629,577.77	\$ 2,775,665.43	\$ 2,921,733.08	
Labor Direct Wages	\$ 181,366.27	\$ 193,457.35	\$ 205,548.44	\$ 217,639.52	\$ 229,730.61	\$ 241,821.69	
Job Materials	\$ 407,957.37	\$ 422,099.89	\$ 435,026.70	\$ 446,798.01	\$ 457,471.52	\$ 467,102.50	3% cut each year
Subcontractors	\$ 1,006,407.68	\$ 1,073,501.53	\$ 1,140,595.37	\$ 1,207,689.22	\$ 1,274,783.06	\$ 1,341,876.91	
Payroll Taxes Direct	\$ 16,998.42	\$ 18,131.65	\$ 19,264.88	\$ 20,398.10	\$ 21,531.33	\$ 22,664.56	
Workers Compensation Direct	\$ 1,940.18	\$ 2,069.53	\$ 2,198.87	\$ 2,328.22	\$ 2,457.56	\$ 2,586.91	
Cost of Goods Sold	\$ 1,602,431.20	\$ 1,709,259.95	\$ 1,802,634.26	\$ 1,894,853.07	\$ 1,985,974.08	\$ 2,076,052.57	
Gross Profit	\$ 588,883.61	\$ 628,142.52	\$ 680,855.86	\$ 734,724.70	\$ 789,691.34	\$ 845,680.51	
Expenses							
Clean Shop Wages	\$ 2,477.50	\$ 2,642.67	\$ 2,807.83	\$ 2,973.00	\$ 3,138.17	\$ 3,303.33	White cells: variable costs
Payroll Taxes Indirect	\$ 335.12	\$ 357.46	\$ 379.80	\$ 402.14	\$ 424.49	\$ 446.83	Blue cells: fixed costs
Payroll Worker's Comp Indirect	\$ 37.48	\$ 39.98	\$ 42.48	\$ 44.98	\$ 47.47	\$ 49.97	
Shop Exp Rent	\$ 24,821.10	\$ 24,821.10	\$ 24,821.10	\$ 24,821.10	\$ 24,821.10	\$ 24,821.10	
Shop Exp Repairs & Maintenance	\$ 2,314.60	\$ 2,468.91	\$ 2,623.21	\$ 2,777.52	\$ 2,931.83	\$ 3,086.13	
Shop Exp Dumpster	\$ 1,458.03	\$ 1,458.03	\$ 1,458.03	\$ 1,458.03	\$ 1,458.03	\$ 1,458.03	
Shop Exp Misc.	\$ 920.04	\$ 981.38	\$ 1,042.71	\$ 1,104.05	\$ 1,165.38	\$ 1,226.72	
Shop Exp Uniforms	\$ 1,106.54	\$ 1,180.31	\$ 1,254.08	\$ 1,327.85	\$ 1,401.62	\$ 1,475.39	
Small Tools	\$ 6,898.02	\$ 7,357.89	\$ 7,817.76	\$ 8,277.62	\$ 8,737.49	\$ 9,197.36	
Auto Exp: Box Truck 2015 Maint	\$ 476.08	\$ 507.82	\$ 539.56	\$ 571.30	\$ 603.03	\$ 634.77	
Auto Exp: F350-2014 Maint	\$ 2,262.18	\$ 2,412.99	\$ 2,563.80	\$ 2,714.62	\$ 2,865.43	\$ 3,016.24	
Auto Exp: Fuel Expenses	\$ 7,135.62	\$ 7,611.33	\$ 8,087.04	\$ 8,562.74	\$ 9,038.45	\$ 9,514.16	
Auto Exp: Mileage Reim	\$ 419.80	\$ 447.79	\$ 475.77	\$ 503.76	\$ 531.75	\$ 559.73	
Auto Exp: Car Allowance	\$ 100.00	\$ 106.67	\$ 113.33	\$ 120.00	\$ 126.67	\$ 133.33	
Bank Service Charges	\$ 174.00	\$ 185.60	\$ 197.20	\$ 208.80	\$ 220.40	\$ 232.00	
Dues and Subscriptions	\$ 1,195.00	\$ 1,195.00	\$ 1,195.00	\$ 1,195.00	\$ 1,195.00	\$ 1,195.00	
Finance Charge - Suppliers	\$ 143.89	\$ 153.48	\$ 163.08	\$ 172.67	\$ 182.26	\$ 191.85	
Gifts	\$ 4,068.13	\$ 4,339.34	\$ 4,610.55	\$ 4,881.76	\$ 5,152.96	\$ 5,424.17	
Insurance Equipment/Inventory	\$ 826.78	\$ 881.90	\$ 937.02	\$ 992.14	\$ 1,047.25	\$ 1,102.37	
Insurance Auto	\$ 1,422.84	\$ 1,422.84	\$ 1,422.84	\$ 1,422.84	\$ 1,422.84	\$ 1,422.84	
Insurance Life	\$ 5,752.80	\$ 6,136.32	\$ 6,519.84	\$ 6,903.36	\$ 7,286.88	\$ 7,670.40	
Insurance Liability	\$ 9,064.00	\$ 9,668.27	\$ 10,272.53	\$ 10,876.80	\$ 11,481.07	\$ 12,085.33	
Insurance Supplemental	\$ 1,796.16	\$ 1,915.90	\$ 2,035.65	\$ 2,155.39	\$ 2,275.14	\$ 2,394.88	
Insurance Umbrella	\$ 510.00	\$ 544.00	\$ 578.00	\$ 612.00	\$ 646.00	\$ 680.00	
Insurance Workers Comp	\$ (10.96)	\$ (11.69)	\$ (12.42)	\$ (13.15)	\$ (13.88)	\$ (14.61)	
Marketing	\$ 9,289.63	\$ 9,908.94	\$ 10,528.25	\$ 11,147.56	\$ 11,766.86	\$ 12,386.17	
Miscellaneous	\$ 89.13	\$ 95.07	\$ 101.01	\$ 106.96	\$ 112.90	\$ 118.84	
Office Cleaning	\$ 1,545.26	\$ 1,545.26	\$ 1,545.26	\$ 1,545.26	\$ 1,545.26	\$ 1,545.26	
Office Copier Lease	\$ 2,852.64	\$ 2,852.64	\$ 2,852.64	\$ 2,852.64	\$ 2,852.64	\$ 2,852.64	
Office Internet Expense	\$ 2,192.18	\$ 2,192.18	\$ 2,192.18	\$ 2,192.18	\$ 2,192.18	\$ 2,192.18	
Office Supplies	\$ 1,812.62	\$ 1,933.46	\$ 2,054.30	\$ 2,175.14	\$ 2,295.99	\$ 2,416.83	
Office Postage	\$ 162.33	\$ 173.15	\$ 183.97	\$ 194.80	\$ 205.62	\$ 216.44	
Officer Wages	\$ 123,600.00	\$ 123,600.00	\$ 123,600.00	\$ 123,600.00	\$ 123,600.00	\$ 123,600.00	
Administrative Wages	\$ 80,553.42	\$ 80,553.42	\$ 80,553.42	\$ 80,553.42	\$ 80,553.42	\$ 80,553.42	
Vacation Wages	\$ 10,667.53	\$ 11,378.70	\$ 12,089.87	\$ 12,801.04	\$ 13,512.20	\$ 14,223.37	
Holiday Wages	\$ 7,022.16	\$ 7,490.30	\$ 7,958.45	\$ 8,426.59	\$ 8,894.74	\$ 9,362.88	
Bonus Wages	\$ 11,260.00	\$ 12,010.67	\$ 12,761.33	\$ 13,512.00	\$ 14,262.67	\$ 15,013.33	
Simple IRA Fringe Contra	\$ 8,465.81	\$ 9,030.20	\$ 9,594.58	\$ 10,158.97	\$ 10,723.36	\$ 11,287.75	
Marketing Wages	\$ 104.00	\$ 104.00	\$ 104.00	\$ 104.00	\$ 104.00	\$ 104.00	
Payroll Taxes Admin	\$ 19,477.81	\$ 19,477.81	\$ 19,477.81	\$ 19,477.81	\$ 19,477.81	\$ 19,477.81	
Payroll Worker's Comp Admin	\$ 2,274.96	\$ 2,426.62	\$ 2,578.29	\$ 2,729.95	\$ 2,881.62	\$ 3,033.28	
Professional Fees Other	\$ 1,625.40	\$ 1,733.76	\$ 1,842.12	\$ 1,950.48	\$ 2,058.84	\$ 2,167.20	
Professional - Accounting	\$ 5,178.00	\$ 5,178.00	\$ 5,178.00	\$ 5,178.00	\$ 5,178.00	\$ 5,178.00	
Professional - Payroll Process	\$ 2,116.00	\$ 2,116.00	\$ 2,116.00	\$ 2,116.00	\$ 2,116.00	\$ 2,116.00	
Repairs Office	\$ 404.56	\$ 431.53	\$ 458.50	\$ 485.47	\$ 512.44	\$ 539.41	
Taxes - CAT	\$ (461.11)	\$ (491.85)	\$ (522.59)	\$ (553.33)	\$ (584.07)	\$ (614.81)	
Taxes - Oakwood	\$ 19.00	\$ 20.27	\$ 21.53	\$ 22.80	\$ 24.07	\$ 25.33	
T&E - Meals	\$ 3,192.66	\$ 3,405.50	\$ 3,618.35	\$ 3,831.19	\$ 4,044.04	\$ 4,256.88	
T&E - Entertainment & Meals	\$ 3,304.02	\$ 3,524.29	\$ 3,744.56	\$ 3,964.82	\$ 4,185.09	\$ 4,405.36	
T&E - Travel	\$ 3,073.57	\$ 3,278.47	\$ 3,483.38	\$ 3,688.28	\$ 3,893.19	\$ 4,098.09	
Telephone - Cellular	\$ 4,566.37	\$ 4,566.37	\$ 4,566.37	\$ 4,566.37	\$ 4,566.37	\$ 4,566.37	
Telephone - Office	\$ 1,848.19	\$ 1,848.19	\$ 1,848.19	\$ 1,848.19	\$ 1,848.19	\$ 1,848.19	
Interest Expense - Buyout	\$ 12,047.52	\$ 12,850.69	\$ 13,653.86	\$ 14,457.02	\$ 15,260.19	\$ 16,063.36	
Suspense	\$ 1,874.69	\$ 1,999.67	\$ 2,124.65	\$ 2,249.63	\$ 2,374.61	\$ 2,499.59	
Total Variable Costs	\$ 122,932.26	\$ 131,127.74	\$ 139,323.23	\$ 147,518.71	\$ 155,714.20	\$ 163,909.68	
Total Fixed Costs	\$ 272,930.84	\$ 272,930.84	\$ 272,930.84	\$ 272,930.84	\$ 272,930.84	\$ 272,930.84	
Saving in Variable Expenses		\$ 3,933.83	\$ 4,179.70	\$ 4,425.56	\$ 4,671.43	\$ 4,917.29	3% cut each year
Total Expenses	\$ 383,987.10	\$ 400,124.75	\$ 408,074.37	\$ 416,023.99	\$ 423,973.61	\$ 431,923.23	
Net Income	\$ 204,896.51	\$ 228,017.77	\$ 272,781.49	\$ 318,700.71	\$ 365,717.73	\$ 413,757.28	

In summary, adding one project every year, cutting job material costs by 3%, and cutting 3% of variable expenses will result in AWI's net income more than doubling in five years. After four years of using our suggested system, AWI would be able to hire a full time accountant to manage the company's financial and control expenses. Now that there is a forecast in place, AWI can use it as a budget to make educated financial decisions, track their financial progress, and achieve their financial goals. Our forecast is an example and it can be tailored to achieve different goals. In the next section we will explore key KPIs to track to ensure AWI is on track to achieve their financial goals.

Financial KPIs

Being intentional is the key to growing consistently while ensuring AWI has enough money to pay long term debt and retains the ability to pay employees and keep operations open. It is hard to be intentional when there is no baseline to work off of and there is only a general sense of the impact money spent has on the entire business. Financial KPIs will help AWI track key ratios and margins to make sure they have the right financial balance to achieve long term success. The KPIs themselves give AWI a number to measure their current financial standings against. In this section we will provide a few examples of financial KPIs and compare AWI's current financial standings to these KPIs.

There are several terms AWI will want to become close with; solvency ratio, liquidity ratio, COGS percentage, net income percentage, EBITDA percentage and total expenses percentage.

KPI #1: Solvency ratios determine a firm's ability to cover long term expenses while liquidity ratios determine a firm's ability to pay short term obligations. As we saw in the Industry Financial Analysis section, AWI's solvency ratio fluctuated between -0.06 and 2.63 over the past four years. This shows a lack of control over how AWI handles their long term debt. AWI needs to stay within the range of 1.0 to 1.5 which is the

A ratio greater than or equal to 1 shows that cash flow is sufficient to meet long term liabilities. Less than one typically means more cash is being spent upfront to cover short term liabilities. A major factor influencing short term liabilities is AWI's total cost of goods sold. The total cost of goods sold is the combined cost of labor wages, job materials, subcontractors, payroll taxes, and worker's compensation. We will touch more on the cost of goods sold later. On the opposite hand, a ratio too far over 1.0 can cause a lack of liquid cash needed to take on additional projects or hire new employees. The key is finding a balance.

AWI can determine their solvency ratio by dividing their after-tax net operating income by their total debt. We suggest AWI sets a KPI for their solvency ratio to stay between 1.0 and 1.5. This will make sure AWI has sufficient cash flow to handle long term debt while also keeping enough cash liquid to cover short term liabilities. These are both essential for maintaining long-term financial success.

KPI #2: AWI can compare its expenses percentage against its yearly goal to measure performance. As we mentioned previously, construction companies tend to keep their expenses

within the range of 60-80%, therefore we advise AWI to keep their expenses within this range. Achieving this goal could be a tough task to achieve since AWI thrives on delivering high-end products at an expensive rate. In order to lower expenses, AWI must look at the various variable expenses it currently has. In 2019, the variable expenses consisted of 32% of the total expenses. If AWI can work on minimizing these expenses by 3% or more, more profit could be generated.

KPI #3: As it pertains to the cost of goods sold, we advise AWI to keep the cost of goods sold within the range of 60-80%. This would allow and give AWI the opportunity to stay competitive, pay its outstanding debt, save and plan for future growth. This is imperative to maintain as the industry average as we discussed previously is 60.22% and the competitors within the Dayton area are achieving an average percentage of 57.19%. Therefore, in order for AWI to stay competitive, the cost of goods sold has to stay within such range.

KPI #4: AWI is also advised to use the Net Income Percentage in comparison to the yearly goal to measure its financial performance. Even though we cannot put an exact figure to this category, we can agree that the higher the net income, the more flexibility AWI would have. On average, the construction industry does have a net income of 12%. so if AWI could achieve a rate of 13% or more, that would mean success to the firm. Per our mentioned forecast and the presented saving over the next five years, we believe achieving a 13% of Net Income is a very achievable suggestion since the forecast was performed based on the most conservative approaches.

KPI#5: When it comes to EBITDA, we suggest that AWI maintain an EBITDA percentage of 12.98% or more. The current construction industry average EBITDA percentage as we mentioned previously is 8.75%, but based on our most conservative forecast, we determined that AWI could achieve a rate of 14.11% or better in five years. Therefore, we believe it's very achievable to AWI to achieve a conservative rate of 12.98% per year once expenses are controlled.

Achieving optimal financial performance will put AWI in a position to implement our second set of recommendations; to implement a formal training and hiring process and set workforce KPIs. We will look at creating a holistic workforce development structure consisting of identifying labor pools and implementing a plan to build and maximize the incoming workforce. The implementation plan outlined in the next section will provide AWI with a three-phased approach to support workforce development over the next five years and offer the ability to grow the workforce as needed.

Workforce Management

We recommend a three-step workforce approach for AWI to follow developing the workforce. The three steps are: develop a training program, create a plan for hiring future employees, and then implement a strategy to grow and maintain the workforce. In addition to the three-phased approach we are also recommending AWI implement workforce KPIs. This section will provide additional analysis and give suggestions for how to achieve these recommendations.

Step I: Develop a Training Program

AWI's Human Resources capabilities are not currently equipped to implement a workforce development program in the future. AWI has identified the need to hire four skilled labor positions and two project managers over the next five years to sustain the current business model; additional hiring will be needed to grow the company. Financially, AWI is not in a position to hire an additional HR staff for searching and hiring new employees and we suggest that the firm outsource these resources to save on the expense of hiring a Human Resource Manager. It is important to note that there should be a point of contact with AWI for any function being outsourced.

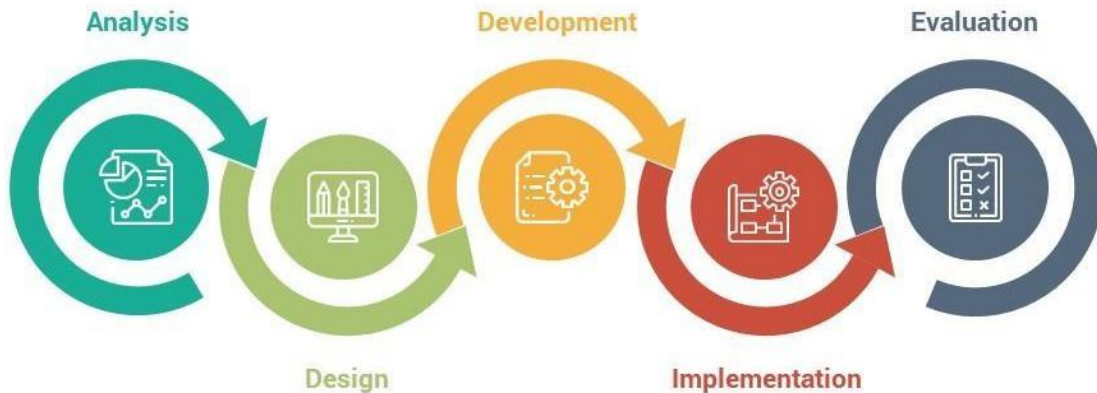
A useful community resource is the Montgomery County Workforce Development who runs a Business Solutions Center (BSC) that provides a concierge service for small businesses. They align firms with Montgomery County partners within the community who can assist with implementation of numerous developmental needs such as an employee training plan. The referral is at no cost to the firm.

A training strategy needs to support overall workforce development. As a critical first step, employees and employers must recognize the specific skill sets needed to perform the job. When done correctly, the implementation of practical training will lead to a happier workforce. This will reduce turnover rates and thus drive down the costly expense of identifying, selecting, and onboarding a new employee. However, creating an effective training plan can be challenging without a full understanding of the short-term goals and milestones.

For this reason, before hiring an employee AWI should create a set of standards they can use to evaluate the value employees add. The employee then must learn these skills and meet these predetermined expectations to meet the demands of the position. Training programs make use of purposeful initiatives that have people practice and build their skills until they are "ready". Based on the competitive environment in this industry, we believe that an employee should have the built-up abilities to operate at full efficiency in six months.

It can feel overwhelming to develop a training program from scratch. Thankfully, there are tools that already exist to help AWI build a successful training program. One useful tool we suggest is called the ADDIE model. ADDIE stands for Analysis, Design, Development, Implementation, and Evaluation and is an instructional framework utilized to develop training programs. Outlined in Exhibit 7.3 are steps, following the ADDIE model, to build an effective training program. This tool is used to develop a company on-the-job training program for onboarding new employees.

Exhibit 7.3 ADDIE

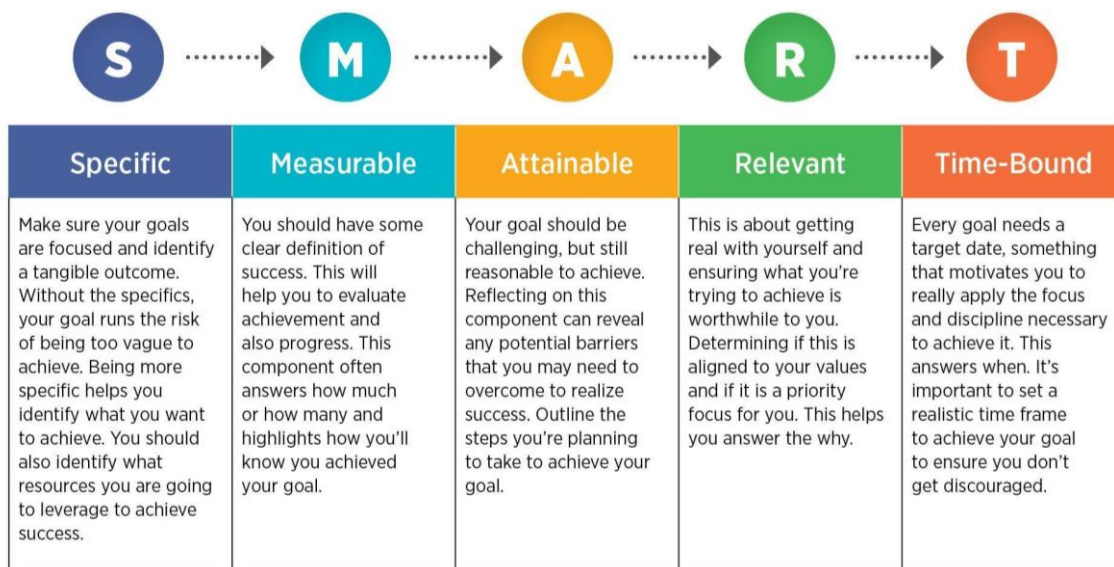


(ADDIE Model PowerPoint Template)

In the analysis phase AWI should establish and review desired outcomes. A good place to start is by assessing any weaknesses AWI has in productivity, quality, or time management that they want a new employee to help overcome. Once they have determined the purpose of the new employee they must then consider the knowledge, skills, and abilities that are needed to perform the job. It is also beneficial to list out personality traits that AWI wants in employees to ensure the future employee will fit in the culture.

The second part of the analysis phase is to establish training program SMART goals and objectives. See Exhibit 7.4 for further details of what makes up a SMART goal. These goals should determine what the employee should achieve through the training program. They should also establish the milestones the employee will be expected to meet along with the timeline for when they are expected to meet them.

Exhibit 7.4 SMART Goals



(Setting SMART Goals)

The next phase of ADDIE is the design phase where AWI should design customized content to achieve the desired outcome. This phase builds training outlining performance objectives and should utilize analysis to drive the training outline and the training program. It is important to consider a delivery method such as "Train-the-Trainer," which is an effective and more formalized way to utilize internal resources to train newcomers. This method aids in the consistent delivery of training curriculum and provides better training follow up as they will be around to provide mentorship (Cserti, 2020).

Once the design is created AWI would move to the development phase where they would use the information gathered to create a solution. The best place to start is to develop learning objectives. These help determine what an employee should learn at each level of their training program. This will aid in the understanding of employee progress by providing a benchmark to evaluate performance. Next, AWI would determine performance KPIs that will measure employee progress such as training completion rate and average repair time. Finally, AWI would produce formal training materials.

Following the completion of the development phase AWI would begin the implementation phase. This is where they would deliver the training with newly hired employees. Execution is the most critical element of the training plan. New employees will receive the standardized training and be expected to fully understand what must be achieved.

Finally, the ADDIE process concludes with the evaluation phase where AWI would measure performance against objectives. The evaluation phase, however, should be ongoing throughout the entire process. Yes, it does include evaluation employee performance but it also includes evaluating the analyze, design, develop, and implementation phases as well. AWI should determine if the training was effective by analyzing the results to see if the new employee targets were achieved. If the targets were achieved, AWI should maintain the training. If the targets were not achieved, they should revise the training to fix identified shortfalls. This will help ensure a successful training program is created.

Step II: Hire the workforce

Once phase I is complete, AWI will have a foundation in place that will help them retain employees. The next logical step is to hire employees. We suggest utilizing the Montgomery County Workforce Development for this phase as well to assist with hiring needs. The Montgomery County Workforce Development has a talent and recruitment section that has experience in the construction and building trade industry. They have access to non-experienced, experienced, veterans, educational, credential, and trade level candidates. Their Employer Services assist in the recruitment of workforce individuals. This includes, but is not limited to, conducting background checks and drug testing. Additionally, they have a Project Hire Program which is an on the job training program that will reimburse 50% of eligible worker wages up to 6 months. This program also provides access to the Workforce Innovation Opportunity Act which provides qualified candidates that meet specific companies' requirements.

Another opportunity for support in hiring employees is to enlist Military Technicians and Leaders (MTL). MTL is a Veteran Owned Business and is a fee for service agency that

specializes in helping exceptional companies find immense competitive advantages by adequately identifying, screening, hiring, and onboarding the outstanding men and women leaving the military. MTL has a 95.6% first-interview to hire ratio, and over a 97% retention rate over a 2yr period. MTL offers a 30-day replacement guarantee if the employee or the employer terminates. MTL will place highly qualified candidates for woodworking and Project Managers for a fee. MTL offers a 30-day replacement guarantee if the employee or the employer terminates employment. The applicants will typically be prior service military which brings a wealth of experience, leadership, and understanding of mission accomplishment.

Implementation of Montgomery County Workforce Development or MTL programs or services will provide AWI with full autonomy in each phase of selection and hiring to include the demographics of individuals. This is important because AWI should be picky about finding someone who fits the culture of the firm and shows potential to be a loyal, long-term employee. Finding the perfect match is crucial so that AWI can avoid investing in employees who are not committed to the profession or do not fit the culture.

Step III: Develop the workforce

In the final phase, AWI should focus on developing the workforce. Workforce development ultimately focuses on the long-term success of an employee and precisely how they can continue to grow over time. The recommendation for developing the workforce would be to create and implement a formalized employee development process with individual development plans (IDPs). Workforce development focuses on the long-term success of each employee by narrowing down precisely how they can grow in a customized way. Investing in workforce development by creating a career path that demonstrates advancement and promotion opportunities through development can help retain top talent.

An underutilized tool for the continued development of employees is IDPs. IDPs are action plans designed to improve the knowledge and abilities of a person and help develop the stepping stones to the path for long-term development. Often, development plans or performance appraisals fail because employee goals are not well-established upfront and only done annually. However, with a proper system put in place, development plans can be extremely beneficial to the workforce's continued development. Investing in IDPs can lead to increased worker engagement and motivation, improve employee performance, and nurture promotable employees.

Step 1: Develop the Plan: Once an individual is selected and hired to join the AWI team, immediately establish the employee's individual development plan. Growth plans should be custom-tailored to each employee. Meet one-on-one with the new employees focusing on their desired areas of improvement and identification of tasks and projects they find interest. Identify each employee's SMART goals – specific, measurable, attainable, realistic, and time-specific. Listed below are thought-provoking questions that can be provided to the employee before the discussion to help open the conversation.

Do you have what you need to do your best work?
What would help you improve your performance?

Are there other positions in our organization that you find interest?

What are your career goals?

What have you done to advance your career?

What would help you make further progress in your career?

What obstacles to your career goals do you face?

Step 2: Determine the right opportunities: Once an employee has established their goals, it is up to the supervisor to determine possible ways to help them get there. Here are some individual development plan ideas to consider.

On the job training – allows employees to learn by performing a specific task or job. Benefits include immediate feedback on performance and swift remediation if a duty is not to the standard

Job Rotations - the systematic movement of employees from job to job within an organization over time unrelated to the original job. Benefits include increased skills and opening new opportunities to employees

Mentor/Mentee Programs - matching less experienced employees with more experienced employees through formal programs. Benefits include a decrease in stress and anxiety and creating a culture around learning

Step 3: Maintain the plan: Supervisors frequently meet with new employees to review their progress and determine the way forward. A new employee's plan should be reviewed every three months during their first year. After this, plans should be revisited periodically with at least two formal sit-downs scheduled to ensure the busyness does not prevent employee development over the years.

It is critical to set expectations in order to communicate the proper expectations between supervisors and employees. Expectations of the employee would be to take objectives established in the development plan and ensure they are sticking to their training schedule. At the same time, supervisors act as facilitators who provide guidance and remove barrier

Step 4: Measure the results: It is imperative to understand if the company is receiving the desired outcomes through the implementation of programs such as individual development plans. For example, measurement tools such as employee surveys can help measure employee satisfaction. It is recommended that AWI utilize three critical KPIs discussed in the next section, to better understand the results from developing the workforce.

Exhibit 7.5 IDP Template Example

Individual Development Plan			
Long Term Goals			
What do you aim to be over the next 5 years?			
Short Term Goals			
What do you aim to be at the end of this year? Think over the tasks you would like to solve during the year.			
Development Area	SMART Goal	Resources Required	Target Date
What do you want to accomplish?	How will you accomplishment this skill in a specific, measurable, attainable, realistic, and timely way?	What do you need to accomplish this goal?	When do you plan to finish the action?

Exhibit 7.6 Employee Satisfaction Survey Example

Employee Satisfaction Survey					
Please take the time to fill out this survey honestly. There are no right or wrong answers, and your response will be kept confidential. Select how you feel about each statement by checking the box that corresponds with your response. If you would like to leave comments, there is a space available after each section to do so, but it is not required.					
Job Responsibilities					
	All of the time	Most of the time	Neutral	Sometimes	Never
I know what is expected of me at work.					
I feel the freedom to "think outside the box."					
I feel that I am fairly compensated.					
I have the equipment, materials and resources I need in order to perform my job to the best of my ability.					
My assignments are clearly explained.					
I feel rushed to ensure that I meet deadlines.					
I feel like I do not get enough to do.					
I have opportunities to learn things outside of my specific job.					
I have the energy at the end of the workday to participate in my personal hobbies and interests.					
Comments:					

Workforce KPIs

Our final recommendation is that AWI should implement workforce KPIs. There are many different KPIs that can track the effectiveness of a training program. Examples of workforce KPIs include time to proficiency, employee attrition rates, and employee satisfaction levels. These measures can monitor the progress of workforce development.

The first KPI is time to proficiency. For this KPI, AWI needs to develop achievable goals for new employees to reach within their first year. These goals will provide a progress-tracking timeline for new employees to learn skills and knowledge to reach a successful performance level. We suggest that AWI sets a KPI that new employees will achieve 85% of their year one goal. This leaves room for employees to know that the expectation is not to learn everything at once while still pushing for proficient mastery.

The measuring of employee attrition rate is a tool used to identify a fundamental challenge with employee turnover. AWI can determine their attrition rate by taking the number of employees that left the workforce in a given time frame by the average number of employees. A smaller percentage is preferred, as that means fewer people are leaving the organization. With the size of AWI's workforce, one person leaving will have a significant impact on the attrition rate. AWI should work to motivate employees to stay for at least ten years. Therefore, we would suggest that AWI's attrition rate is less than 10% per year, on average, over ten years.

The final KPI is employee satisfaction. Employee satisfaction can be rated based on one-on-one conversations, surveys, or frequent performance reviews. Employees respond well and are more likely to stay when they have regular feedback, feel like a valued contributor, and when they are providing work that is meaningful to the overall company (Halvorson, 2015). We suggest requiring employees to take anonymous surveys about their satisfaction in different facets of the job. Employees could rate their satisfaction on a scale of 1-10. AWI's KPI would be to achieve a seven or above average on each facet of employee satisfaction.

With AWI's Human Resources capabilities not currently equipped to implement a workforce development program, we recommend that AWI utilize an external source to build individual development plans for newly onboarding employees. The Montgomery County Workforce Development Center offers fee-for-services options with qualifying eligibility for career development. Additional details are located on their website, [OhioMeansJobs.com/Montgomery](https://ohiojobs.com/montgomery). Additionally, we recommend leveraging the University of Dayton's robust student internship recruitment program to support the building of these tools. AWI can post a job posting for internships for students through their Handshake system. The UD Career Services reviews and approves postings, and the internship job posting by the organization/business. For instructions on posting an internship in Handshake, please visit <https://udayton.edu/careerservices/employer/postingajob/index.php>. Utilizing business students during the summer to develop and maintain individual development plans provides a unique opportunity to grow your workforce with a fresh perspective.

Exhibit 7.7 Workforce Development Overview: Four Skilled Laborers, Two Project Managers

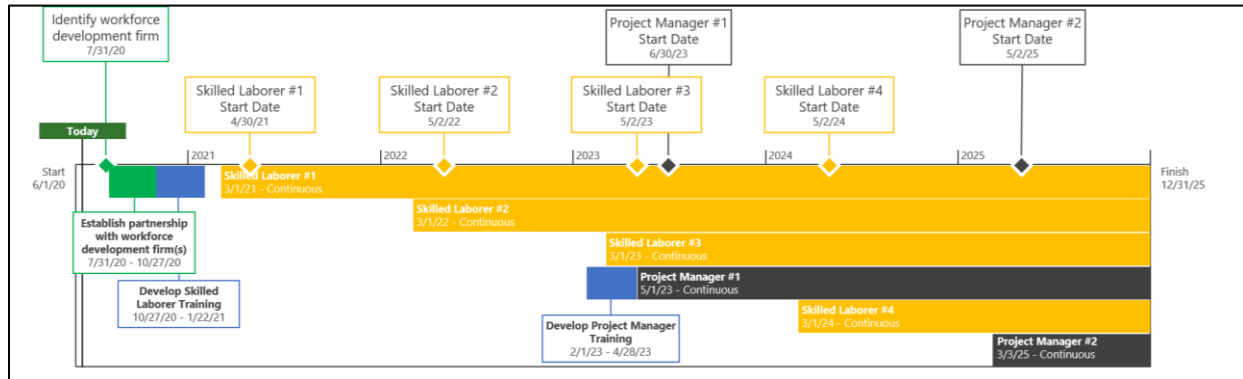
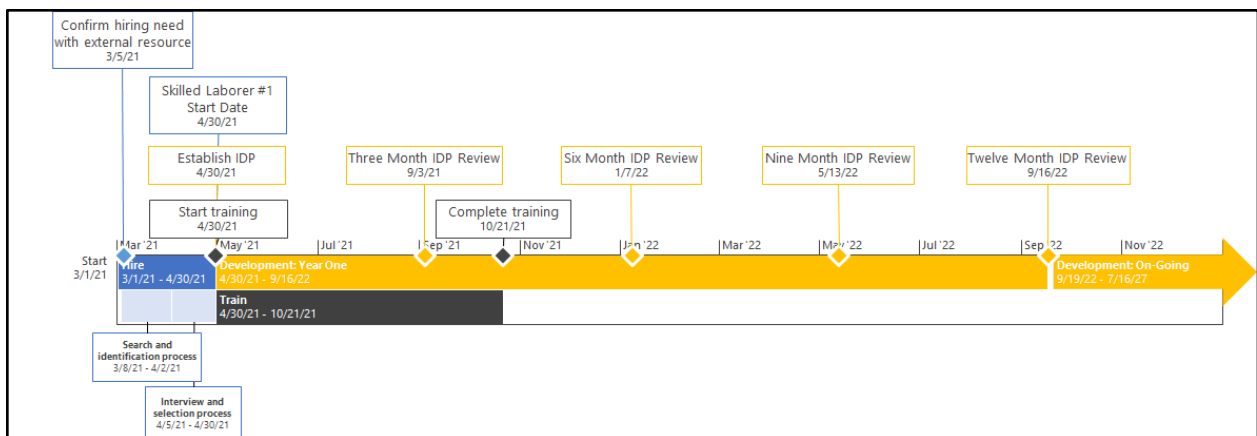


Exhibit 7.8 Full Workforce Development Schedule for First Skilled Laborer



Recommendations Summary

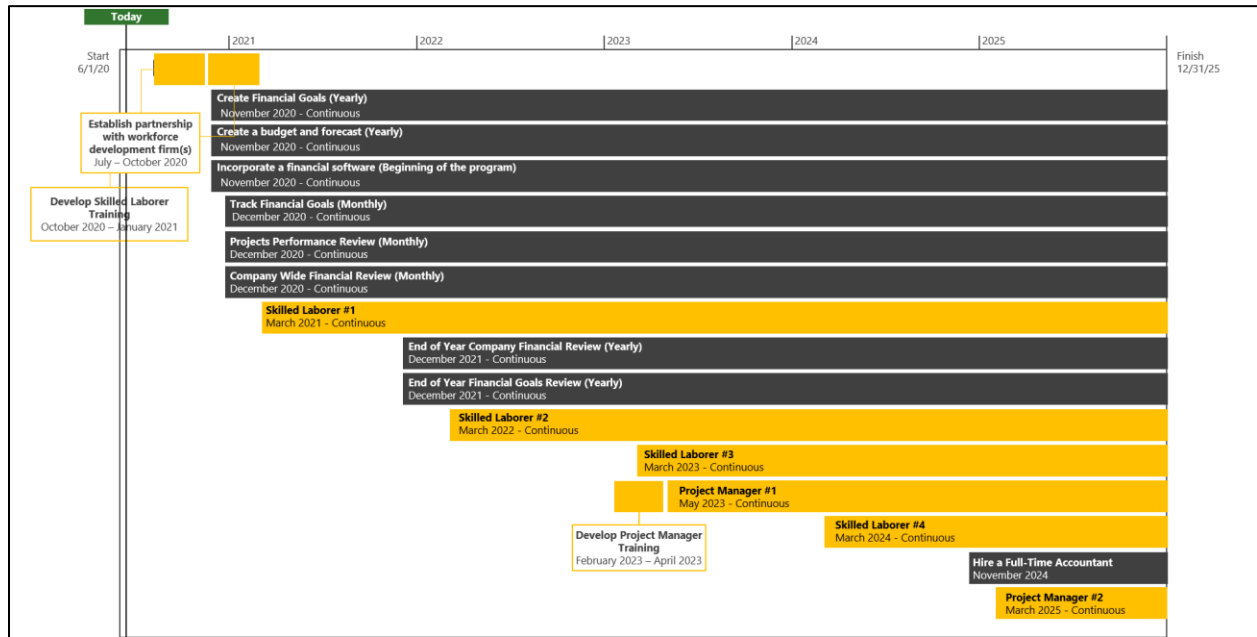
Both recommendations are focused on sustaining and growing the business. AWI is at a critical time where employees are approaching retirement. Those who remain will need the infrastructure to make smart financial decisions and bring in new employees. Staying true to AWI's values of high quality and superior service is essential.

In the financial management section we explored financial infrastructures and KPIs. We showed how establishing financial projections can be used to achieve financial goals and then used as a budget. This section includes an example five year projection that would more than double AWI's 2019 net profit along with an explanation on how these numbers were achieved. We then looked at two potential KPIs; one for solvency and the other for gross margin. These KPIs make sure AWI can cover long term expenses and that they are not spending too much revenue on the cost of goods sold.

In the workforce management section we explored a three-phased workforce approach which includes developing a training program, creating a plan for hiring future employees, and then implementing a strategy to grow and maintain the workforce. The ADDIE tool is a key way to

develop a training program. Montgomery County Workforce Development and MTL programs and services can help AWI find qualified employees. Finally, AWI can grow and maintain the workforce by focusing on career growth, professional growth, and personal growth of employees. We also discussed three workforce KPIs; attrition rate, employee satisfaction, and time to proficiency. Following the suggestions in the workforce management section will help enable AWI to gain qualified, loyal employees.

Exhibit 7.9 Recommendation Overview; Five Year Outlook





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